

AU-C Section 330

Performing Audit Procedures in Response to Assessed Risks and Evaluating the Audit Evidence Obtained

Source: SAS No. 122; SAS No. 134; SAS No. 135; SAS No. 136; SAS No. 142; SAS No. 145.

Effective for audits of financial statements for periods ending on or after December 15, 2012, unless otherwise indicated.

Introduction

Scope of This Section

.01 This section addresses the auditor's responsibility to design and implement responses to the risks of material misstatement identified and assessed by the auditor in accordance with section 315, *Understanding the Entity and Its Environment and Assessing the Risks of Material Misstatement*, and to evaluate the audit evidence obtained in an audit of financial statements. Section 700, *Forming an Opinion and Reporting on Financial Statements*, and section 703, *Forming an Opinion and Reporting on Financial Statements of Employee Benefit Plans Subject to ERISA*, address the auditor's responsibility to form an opinion on the financial statements based on the evaluation of the audit evidence obtained. [As amended, effective for audits of financial statements for periods ending on or after December 15, 2021, by SAS No. 136.]

Effective Date

.02 This section is effective for audits of financial statements for periods ending on or after December 15, 2012.

Objective

.03 The objective of the auditor is to obtain sufficient appropriate audit evidence regarding the assessed risks of material misstatement through designing and implementing appropriate responses to those risks.

Definitions

.04 For purposes of generally accepted auditing standards, the following terms have the meanings attributed as follows:

Substantive procedure. An audit procedure designed to detect material misstatements at the assertion level. Substantive procedures comprise

- a. tests of details (classes of transactions, account balances, and disclosures) and
- b. substantive analytical procedures.

Test of controls. An audit procedure designed to evaluate the operating effectiveness of controls in preventing, or detecting and correcting, material misstatements at the assertion level.

Requirements

Overall Responses

.05 The auditor should design and implement overall responses to address the assessed risks of material misstatement at the financial statement level. (Ref: par. .A1–.A3)

Audit Procedures Responsive to the Assessed Risks of Material Misstatement at the Relevant Assertion Level

.06 The auditor should design and perform further audit procedures whose nature, timing, and extent are based on, and are responsive to, the assessed risks of material misstatement at the relevant assertion level and in a manner that is not biased towards obtaining audit evidence that may be corroborative or towards excluding audit evidence that may be contradictory. When evaluating audit evidence with respect to the assessed risks of material misstatement, the auditor maintains professional skepticism, including when considering information that may be used as audit evidence and what procedures would be appropriate in the circumstances. (Ref: par. .A4–.A9) [As amended, effective for audits of financial statements for periods ending on or after December 15, 2022, by SAS No. 142. Revised, December 2024, to reflect technical corrections necessary to conform with SAS No. 145 as it relates to relevant assertions.]

.07 In designing the further audit procedures to be performed, the auditor should

- a. consider the reasons for the assessed risk of material misstatement at the relevant assertion level for each significant class of transactions, account balance, and disclosure, including
 - i. the likelihood and magnitude of misstatement due to the particular characteristics of the significant class of transactions, account balance, or disclosure (the inherent risk) and
 - ii. whether the risk assessment takes account of controls that address the risk of material misstatement (the control risk), thereby requiring the auditor to obtain audit evidence to determine whether the controls are operating effectively (that is, the auditor plans to test the operating effectiveness

of controls in determining the nature, timing, and extent of substantive procedures), and (Ref: par. .A10–.A19)

- b. obtain more persuasive audit evidence the higher the auditor's assessment of risk. (Ref: par. .A20)

[As amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

Tests of Controls

.08 The auditor should design and perform tests of controls to obtain sufficient appropriate audit evidence about the operating effectiveness of controls if (Ref: par. .A21–.A26)

- a. the auditor's assessment of risks of material misstatement at the relevant assertion level includes an expectation that the controls are operating effectively (that is, the auditor plans to test the operating effectiveness of controls in determining the nature, timing, and extent of substantive procedures) or
- b. substantive procedures alone cannot provide sufficient appropriate audit evidence at the relevant assertion level.

[As amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

.09 In designing and performing tests of controls, the auditor should obtain more persuasive audit evidence the greater the reliance the auditor places on the effectiveness of a control. (Ref: par. .A27)

Nature and Extent of Tests of Controls

.10 In designing and performing tests of controls, the auditor should

- a. perform other audit procedures in combination with inquiry to obtain audit evidence about the operating effectiveness of the controls, including
 - i. how the controls were applied at relevant times during the period under audit;
 - ii. the consistency with which they were applied; and
 - iii. by whom or by what means they were applied, including, when applicable, whether the person performing the control possesses the necessary authority and competence to perform the control effectively, and (Ref: par. .A28–.A34)
- b. to the extent not already addressed, determine whether the controls to be tested depend upon other controls (indirect controls) and, if so, whether it is necessary to obtain audit evidence supporting the operating effectiveness of those indirect controls. (Ref: par. .A35)

[As amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

Timing of Tests of Controls

.11 The auditor should test controls for the particular time or throughout the period for which the auditor intends to rely on those controls, subject to paragraphs .12 and .15 that follow, in order to provide an appropriate basis for the auditor's intended reliance. (Ref: par. .A37)

Using Audit Evidence Obtained During an Interim Period

.12 If the auditor obtains audit evidence about the operating effectiveness of controls during an interim period, the auditor should

- a. obtain audit evidence about significant changes to those controls subsequent to the interim period and
- b. determine the additional audit evidence to be obtained for the remaining period. (Ref: par. .A38–.A39)

Using Audit Evidence Obtained in Previous Audits

.13 In determining whether it is appropriate to use audit evidence about the operating effectiveness of controls obtained in previous audits and, if so, the length of the time period that may elapse before retesting a control, the auditor should consider (Ref: par. .A40)

- a. the effectiveness of other components of the entity's system of internal control, including the control environment, the entity's process to monitor the system of internal control, and the entity's risk assessment process;
- b. the risks arising from the characteristics of the control, including whether the control is manual or automated;
- c. the effectiveness of general IT controls;
- d. the effectiveness of the control and its application by the entity, including the nature and extent of deviations in the application of the control noted in previous audits and whether there have been personnel changes that significantly affect the application of the control;
- e. whether the lack of a change in a particular control poses a risk due to changing circumstances; and
- f. the risks of material misstatement and the extent of reliance on the control.

[As amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

.14 If the auditor plans to use audit evidence from a previous audit about the operating effectiveness of specific controls, the auditor should perform audit procedures to establish the continuing relevance of that information to the current audit. The auditor should obtain this evidence by performing inquiry, combined with observation or inspection, to confirm the understanding of those specific controls, and

- a. if there have been changes that affect the continuing relevance of the audit evidence from the previous audit, the auditor should test the controls in the current audit. (Ref: par. .A41)
- b. if there have not been such changes, the auditor should test the controls at least once in every third audit and should test some controls during each audit to avoid the possibility of testing all the controls on which the auditor intends to rely in a single audit period with no testing of controls in the subsequent two audit periods. (Ref: par. .A42–.A44)

Controls Over Significant Risks

.15 If the auditor intends to rely on controls over a risk the auditor has determined to be a significant risk,¹ the auditor should test the operating effectiveness of those controls in the current period. [As amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

Evaluating the Operating Effectiveness of Controls

.16 When evaluating the operating effectiveness of controls upon which the auditor intends to rely, the auditor should evaluate whether misstatements that have been detected by substantive procedures indicate that controls are not operating effectively. The absence of misstatements detected by substantive procedures, however, does not provide audit evidence that controls related to the relevant assertion being tested are effective. (Ref: par. .A45) [As amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

.17 If deviations from controls upon which the auditor intends to rely are detected, the auditor should make specific inquiries to understand these matters and their potential consequences and should determine whether

- a. the tests of controls that have been performed provide an appropriate basis for reliance on the controls,
- b. additional tests of controls are necessary, or
- c. the risks of material misstatement need to be addressed using substantive procedures. (Ref: par. .A46)

[As amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

Substantive Procedures

.18 The auditor should perform substantive procedures for each relevant assertion of each significant class of transactions, account balance, and disclosure, regardless of the assessed

¹Paragraphs .28–.30 of section 315, *Understanding the Entity and Its Environment and Assessing the Risks of Material Misstatement*.

level of control risk. (Ref: par. .A47–.A52) [As amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

.19 The auditor should consider whether external confirmation procedures are to be performed as substantive audit procedures. (Ref: par. .A53–.A58)

.20 The auditor should use external confirmation procedures for accounts receivable, except when one or more of the following is applicable: (Ref: par. .A57)

- a. The overall account balance is immaterial.
- b. External confirmation procedures for accounts receivable would be ineffective. (Ref: par. .A58)
- c. The auditor's assessed level of risk of material misstatement at the relevant assertion level is low, and the other planned substantive procedures address the assessed risk. In many situations, the use of external confirmation procedures for accounts receivable and the performance of other substantive procedures are necessary to reduce the assessed risk of material misstatement to an acceptably low level.

Substantive Procedures Related to the Financial Statement Closing Process

.21 The auditor's substantive procedures should include audit procedures related to the financial statement closing process, such as

- a. agreeing or reconciling information in the financial statements with the underlying accounting records, including agreeing or reconciling information in disclosures, whether such information is obtained from within or outside of the general and subsidiary ledgers, and
- b. examining material journal entries and other adjustments made during the course of preparing the financial statements. (Ref: par. .A59)

[As amended, effective for audits of financial statements for periods ending on or after December 15, 2021, by SAS No. 134.]

Substantive Procedures Responsive to Significant Risks

.22 If the auditor has determined that an assessed risk of material misstatement at the relevant assertion level is a significant risk, the auditor should perform substantive procedures that are specifically responsive to that risk. When the approach to a significant risk consists only of substantive procedures, those procedures should include tests of details. (Ref: par. .A60–.A61)

Timing of Substantive Procedures

.23 If substantive procedures are performed at an interim date, the auditor should cover the remaining period by performing

- a. substantive procedures, combined with tests of controls for the intervening period, or
- b. if the auditor determines that it is sufficient, further substantive procedures only,

that provide a reasonable basis for extending the audit conclusions from the interim date to the period-end. (Ref: par. .A62–.A66)

.24 If misstatements that the auditor did not expect when assessing the risks of material misstatement are detected at an interim date, the auditor should evaluate whether the related assessment of risk and the planned nature, timing, or extent of substantive procedures covering the remaining period need to be modified. See section 240, *Consideration of Fraud in a Financial Statement Audit*.² (Ref: par. .A67)

Selecting Items for Testing to Obtain Audit Evidence

.25 When designing tests of controls and tests of details, the auditor should determine the means of selecting items for testing that are effective in meeting the purpose of the audit procedure. (Ref: par. .A68–.A74)

Adequacy of Presentation of the Financial Statements

.26 The auditor should perform audit procedures to evaluate whether the overall presentation of the financial statements is in accordance with the applicable financial reporting framework. In making this evaluation, the auditor should consider whether the financial statements are presented in a manner that reflects the following: (Ref: par. .A75)

- a. The appropriate classification and description of financial information and the underlying transactions, events, and conditions
- b. The appropriate presentation, structure, and content of the financial statements

[As amended, effective for audits of financial statements for periods ending on or after December 15, 2021, by SAS No. 134.]

Evaluating the Sufficiency and Appropriateness of Audit Evidence³

.27 Based on the audit procedures performed and the audit evidence obtained, the auditor should evaluate, before the conclusion of the audit, whether the assessments of the risks of material misstatement at the relevant assertion level remain appropriate. (Ref: par. .A76–.A78)

.28 The auditor should conclude whether sufficient appropriate audit evidence has been obtained. In forming a conclusion, the auditor should consider all audit evidence, regardless of whether it appears to corroborate or contradict the assertions in the financial statements. (Ref: par. .A79) [As amended, effective for audits of financial statements for periods ending on or after December 15, 2022, by SAS No. 142.]

²Paragraphs .35–.36 of section 240, *Consideration of Fraud in a Financial Statement Audit*.

³See section 700, *Forming an Opinion and Reporting on Financial Statements*.

.29 If the auditor has not obtained sufficient appropriate audit evidence related to a relevant assertion about a significant class of transactions, account balance, or disclosure, the auditor should attempt to obtain further audit evidence. If the auditor is unable to obtain sufficient appropriate audit evidence, the auditor should express a qualified opinion or disclaim an opinion on the financial statements.⁴ [As amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

Documentation

.30 The auditor should include in the audit documentation⁵ (Ref: par. .A80)

- a. the overall responses to address the assessed risks of material misstatement at the financial statement level and the nature, timing, and extent of the further audit procedures performed;
- b. the linkage of those procedures with the assessed risks at the relevant assertion level; and
- c. the results of the audit procedures, including the conclusions when such conclusions are not otherwise clear.

.31 If the auditor plans to use audit evidence about the operating effectiveness of controls obtained in previous audits, the auditor should include in the audit documentation the conclusions reached about relying on such controls that were tested in a previous audit.

.32 The auditor should include in the audit documentation the basis for any determination not to use external confirmation procedures for accounts receivable when the account balance is material.

.33 The auditor's documentation should demonstrate that information in the financial statements agrees or reconciles with the underlying accounting records, including agreeing or reconciling disclosures, whether such information is obtained from within or outside of the general and subsidiary ledgers. [As amended, effective for audits of financial statements for periods ending on or after December 15, 2021, by SAS No. 134.]

Application and Other Explanatory Material

Overall Responses (Ref: par. .05)

.A1 Overall responses to address the assessed risks of material misstatement at the financial statement level may include⁶

- emphasizing to the audit team the need to maintain professional skepticism.

⁴Paragraphs .08–.10 of section 705, *Modifications to the Opinion in the Independent Auditor's Report*, address qualified, adverse, and disclaimer of opinions.

⁵Paragraphs .08–.12 and .A8 of section 230, *Audit Documentation*.

⁶Paragraphs .07–.08 of section 300, *Planning an Audit*, address the auditor's overall audit strategy.

- assigning more experienced staff or those with specialized skills or using specialists.
- providing changes to the nature, timing, and extent of direction and supervision of members of the engagement team and the review of the work performed.
- incorporating additional elements of unpredictability in the selection of further audit procedures to be performed.
- changes to the overall audit strategy as required by section 300, *Planning an Audit*, or planned audit procedures, and may include changes to the following:
 - The auditor’s determination of performance materiality in accordance with section 320.
 - The auditor’s plans to test the operating effectiveness of controls, and the persuasiveness of audit evidence needed to support the planned reliance on the operating effectiveness of the controls, particularly when control deficiencies in the control environment or the entity’s monitoring activities are identified.
 - The nature, timing, and extent of substantive procedures. For example, it may be appropriate to perform substantive procedures at or near the date of the financial statements when the risk of material misstatement is assessed as higher.

[As amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

.A2 The assessment of the risks of material misstatement at the financial statement level and, thereby, the auditor’s overall responses are affected by the auditor’s understanding of the control environment. An effective control environment may allow the auditor to have more confidence in internal control and the reliability of audit evidence generated internally within the entity and, thus, for example, allow the auditor to conduct some audit procedures at an interim date rather than at the period-end. Deficiencies in the control environment, however, have the opposite effect (for example, the auditor may respond to an ineffective control environment by

- conducting more audit procedures as of the period-end rather than at an interim date,
- obtaining more extensive audit evidence from substantive procedures, and
- increasing the number of locations to be included in the audit scope).

.A3 Such considerations, therefore, have a significant bearing on the auditor’s general approach (for example, an emphasis on substantive procedures [substantive approach] or an approach that uses tests of controls as well as substantive procedures [combined approach]).

Audit Procedures Responsive to the Assessed Risks of Material Misstatement at the Relevant Assertion Level

The Nature, Timing, and Extent of Further Audit Procedures (Ref: par. .06)

.A4 The auditor's assessment of the identified risks of material misstatement at the relevant assertion level provides a basis for considering the appropriate audit approach for designing and performing further audit procedures. For example, the auditor may determine that

- a. in addition to the substantive procedures that are required for all relevant assertions, in accordance with paragraph .18, an effective response to the assessed risk of material misstatement for a particular assertion can be achieved only by also performing tests of controls.
- b. performing only substantive procedures is appropriate for particular assertions, and therefore, the auditor excludes the effect of controls from the assessment of the risk of material misstatement. This may be because the auditor has not identified a risk for which substantive procedures alone cannot provide sufficient appropriate audit evidence and, as a result, is not required to test the operating effectiveness of controls. Therefore, the auditor may not plan to test the operating effectiveness of controls in determining the nature, timing, and extent of substantive procedures.
- c. a combined approach using both tests of controls and substantive procedures is an effective approach.

[As amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

.A5 The nature of an audit procedure refers to its purpose (test of controls or substantive procedure) and its type (inspection, observation, inquiry, confirmation, recalculation, reperformance, or analytical procedure). See section 500, *Audit Evidence*, which provides further application guidance about audit procedures.⁷ The nature of the audit procedures is most important in responding to the assessed risks.

.A6 Timing of an audit procedure refers to when it is performed or the period or date to which the audit evidence applies.

.A7 Extent of an audit procedure refers to the quantity to be performed (for example, a sample size or the number of observations of a control). [As amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

.A8 Designing and performing further audit procedures whose nature, timing, and extent are based on, and are responsive to, the assessed risks of material misstatement at the relevant assertion level provides a clear linkage between the auditor's further audit procedures and the risk assessment.

⁷Paragraphs .A10–.A26 of section 500, *Audit Evidence*.

.A9 Because effective internal controls generally reduce but do not eliminate the risk of material misstatement, tests of controls reduce but do not eliminate the need for substantive procedures. In addition, analytical procedures alone may not be sufficient in some cases. For example, when auditing certain estimation processes, such as the allowance for doubtful accounts, the auditor may perform substantive procedures beyond analytical procedures (for example, examining cash collections subsequent to the period-end) due to the risk of management override of controls⁸ or the subjectivity of the account balance.

Responding to the Assessed Risks at the Assertion Level (Ref: par. .07a)

Nature

.A10 Section 315 requires that the auditor's assessment of the risks of material misstatement at the assertion level is performed by assessing inherent risk and control risk. The auditor assesses inherent risk by assessing the likelihood and magnitude of a misstatement, taking into account how and the degree to which the inherent risk factors affect the susceptibility of assertions to misstatement.⁹ The auditor's assessed risks, including the reasons for those assessed risks, may affect both the types of audit procedures to be performed and their combination. For example, when an assessed risk is high, the auditor may confirm the completeness of the terms of a contract with the counterparty, in addition to inspecting the document. Further, certain audit procedures may be more appropriate for some assertions than others. For example, regarding revenue, tests of controls may be most responsive to the assessed risk of material misstatement of the completeness assertion, whereas substantive procedures may be most responsive to the assessed risk of material misstatement of the occurrence assertion. [As amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

.A11 The reasons for the assessment given to a risk are relevant in determining the nature of audit procedures. For example, if an assessed risk is lower because of the particular characteristics of a class of transactions without consideration of the related controls, then the auditor may determine that substantive analytical procedures alone provide sufficient appropriate audit evidence. On the other hand, if the assessed risk is lower because the auditor plans to test the operating effectiveness of controls that are appropriately designed and implemented and the auditor intends to base the substantive procedures on that low assessment, then the auditor performs tests of those controls, as required by paragraph .08a. This may be the case, for example, for a class of transactions of reasonably uniform, noncomplex characteristics that are routinely processed and controlled by the entity's information system. [As amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

⁸The auditor is required by paragraphs .31–.33 of section 240 to perform audit procedures responsive to risks related to management override of controls.

⁹Paragraph .35 of section 315. [Footnote added, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145. Revised, December 2024, to reflect conforming changes necessary due to the issuance of SAS No. 145.]

Timing

.A12 The auditor may perform tests of controls or substantive procedures at an interim date or at the period-end. The higher the risk of material misstatement, the more likely it is that the auditor may decide it is more effective to perform substantive procedures nearer to or at the period-end rather than at an earlier date or to perform audit procedures unannounced or at unpredictable times (for example, performing audit procedures at selected locations on an unannounced basis). This is particularly relevant when considering the response to the risks of fraud. For example, the auditor may conclude that, when the risks of intentional misstatement or manipulation have been identified, audit procedures to extend audit conclusions from the interim date to the period-end would not be effective.

.A13 On the other hand, performing audit procedures before the period-end may assist the auditor in identifying significant issues at an early stage of the audit and consequently resolving them with the assistance of management or developing an effective audit approach to address such issues.

.A14 In addition, certain audit procedures can be performed only at or after the period-end, for example,

- agreeing or reconciling information in the financial statements, including classes of transactions, account balances, and disclosures, with the underlying accounting records including, as applicable, those relevant accounting records that are outside the general and subsidiary ledgers;
- examining adjustments made during the course of preparing the financial statements; and
- procedures to respond to a risk that at the period-end the entity may have entered into improper sales contracts or transactions may not have been finalized.

[As amended, effective for audits of financial statements for periods ending on or after December 15, 2021, by SAS No. 134.]

.A15 Further relevant factors that influence the auditor's consideration of when to perform audit procedures include

- the effectiveness of the control environment.
- when relevant information is available (for example, electronic files may subsequently be overwritten, or procedures to be observed may occur only at certain times).
- the nature of the risk (for example, if there is a risk of inflated revenues to meet earnings expectations by subsequent creation of false sales agreements, the auditor may examine contracts available on the date of the period-end).
- the period or date to which the audit evidence relates.

- the timing of the preparation of the financial statements, particularly for those disclosures that provide further explanation about amounts recorded in the financial statements.

[As amended, effective for audits of financial statements for periods ending on or after December 15, 2021, by SAS No. 134.]

Extent

.A16 The extent of an audit procedure judged necessary is determined after considering the materiality, assessed risk, and degree of assurance the auditor plans to obtain. When a single purpose is met by a combination of procedures, the extent of each procedure may be considered separately. In general, the extent of audit procedures increases as the risks of material misstatement increase. For example, in response to the assessed risks of material misstatement due to fraud, increasing sample sizes or performing substantive analytical procedures at a more detailed level may be appropriate. However, increasing the extent of an audit procedure is effective only if the audit procedure itself is relevant to the specific risk.

.A17 The use of computer assisted audit techniques (CAATs) may enable more extensive testing of electronic transactions and account files, which may be useful when the auditor decides to modify the extent of testing (for example, in responding to the risks of material misstatement due to fraud). Such techniques can be used to select sample transactions from key electronic files, sort transactions with specific characteristics, or test an entire population instead of a sample.

Considerations Specific to Governmental Entities

.A18 For the audits of governmental entities, the audit mandate and any other special auditing requirements may affect the auditor's consideration of the nature, timing, and extent of further audit procedures. For example, under some governmental audit requirements, the auditor is required to perform tests of controls, even if reliance is not planned.

Considerations Specific to Smaller, Less Complex Entities

.A19 In the case of smaller entities, the auditor may not identify controls, or the extent to which their existence or operation have been documented by the entity may be limited. In such cases, it may be more efficient for the auditor to perform further audit procedures that are primarily substantive procedures. In some rare cases, however, the absence of controls or components of the system of internal control may make it impossible to obtain sufficient appropriate audit evidence. [As amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

Higher Assessments of Risk (Ref: par. .07b)

.A20 When obtaining more persuasive audit evidence because of a higher assessment of risk, the auditor may increase the quantity of the evidence or obtain evidence that is more

relevant or reliable (for example by placing more emphasis on obtaining third party evidence or by obtaining corroborating evidence from a number of independent sources).

Tests of Controls

Designing and Performing Tests of Controls (Ref: par. .08)

.A21 Tests of controls are performed only on those controls that the auditor plans to test and has determined are suitably designed to prevent, or detect and correct, a material misstatement in a relevant assertion. If substantially different controls were used at different times during the period under audit, each is considered separately. [As amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

.A22 Testing the operating effectiveness of controls is different from obtaining an understanding of and evaluating the design and implementation of controls. However, the same types of audit procedures are used. The auditor may, therefore, decide it is efficient to test the operating effectiveness of controls at the same time the auditor is evaluating their design and determining that they have been implemented.

.A23 Further, although some risk assessment procedures may not have been specifically designed as tests of controls, they may nevertheless provide audit evidence about the operating effectiveness of the controls and, consequently, serve as tests of controls. For example, the auditor's risk assessment procedures may have included the following:

- Inquiring about management's use of budgets
- Observing management's comparison of monthly budgeted and actual expenses
- Inspecting reports pertaining to the investigation of variances between budgeted and actual amounts

These audit procedures provide knowledge about the design of the entity's budgeting policies and whether they have been implemented but also may provide audit evidence about the effectiveness of the operation of budgeting policies in preventing, or detecting and correcting, material misstatements in the classification of expenses.

.A24 In addition, the auditor may design a test of controls to be performed concurrently with a test of details on the same transaction. Although the purpose of a test of controls is different from the purpose of a test of details, both may be accomplished concurrently by performing a test of controls and a test of details on the same transaction, which also is known as a dual purpose test. For example, the auditor may design and evaluate the results of a test to examine an invoice to determine whether it has been approved and to provide substantive audit evidence of a transaction. A dual purpose test is designed and evaluated by considering each purpose of the test separately.

.A25 In some cases, the auditor may find it impossible to design effective substantive procedures that, by themselves, provide sufficient appropriate audit evidence at the relevant assertion level.¹⁰ This may occur when an entity conducts its business using IT and no

documentation of transactions is produced or maintained, other than through the IT system. In such cases, paragraph .08*b* requires the auditor to perform tests of controls that address the risk for which substantive procedures alone cannot provide sufficient appropriate audit evidence. [As amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

.A26 The auditor may consider testing the operating effectiveness of controls, if any, over the entity's preparation of information used by the auditor in performing substantive analytical procedures in response to assessed risks. See section 520, *Analytical Procedures*, for further guidance.¹¹

Audit Evidence and Intended Reliance (Ref: par. .09)

.A27 A higher level of assurance may be sought about the operating effectiveness of controls when the approach adopted consists primarily of tests of controls, in particular when it is not possible or practicable to obtain sufficient appropriate audit evidence only from substantive procedures.

Nature and Extent of Tests of Controls

Other Audit Procedures in Combination With Inquiry (Ref: par. .10*a*)

.A28 Inquiry alone is not sufficient to test the operating effectiveness of controls. Accordingly, other audit procedures are performed in combination with inquiry. In this regard, inquiry combined with inspection, recalculation, or reperformance may provide more assurance than inquiry and observation because an observation is pertinent only at the point in time at which it is made.

.A29 The nature of the particular control influences the type of audit procedure necessary to obtain audit evidence about whether the control was operating effectively. For example, if operating effectiveness is evidenced by documentation, the auditor may decide to inspect such documentation to obtain audit evidence about operating effectiveness. For other controls, however, documentation may not be available or relevant. For example, documentation of operation may not exist for some factors in the control environment, such as assignment of authority and responsibility, or for some types of controls, such as automated controls. In such circumstances, audit evidence about operating effectiveness may be obtained through inquiry in combination with other audit procedures, such as observation or the use of CAATs. [As amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

.A30 In some situations, particularly in smaller, less complex entities, an entity might use a third party to provide assistance with certain financial reporting functions. When assessing the competence of personnel responsible for an entity's financial reporting and associated controls, the auditor may take into account the combined competence of entity personnel and other parties that assist with functions related to financial reporting.

¹⁰Paragraph .31 of section 315. [Footnote renumbered by the issuance of SAS No. 145, October 2021.]

¹¹Paragraph .A19 of section 520, *Analytical Procedures*. [Footnote renumbered by the issuance of SAS No. 145, October 2021.]

Extent of Tests of Controls

.A31 When more persuasive audit evidence is needed regarding the effectiveness of a control, it may be appropriate to increase the extent of testing of the control. In addition to the degree of reliance on controls, matters the auditor may consider in determining the extent of tests of controls include the following:

- The frequency of the performance of the control by the entity during the period
- The length of time during the audit period that the auditor is relying on the operating effectiveness of the control
- The expected rate of deviation from a control
- The relevance and reliability of the audit evidence to be obtained regarding the operating effectiveness of the control at the relevant assertion level
- The extent to which audit evidence is obtained from tests of other controls related to the relevant assertion

However, the rate of expected deviation may indicate that obtaining audit evidence from the performance of tests of controls will not be sufficient to reduce the control risk at the relevant assertion level. If the rate of expected deviation is expected to be high, tests of controls for a particular assertion may not provide sufficient appropriate audit evidence. Section 530, *Audit Sampling*, contains further guidance on the extent of testing.

.A32 Because of the inherent consistency of IT processing, it may not be necessary to increase the extent of testing of an automated control. An automated control can be expected to function consistently unless the IT application (including the tables, files, or other permanent data used by the IT application) is changed. Once the auditor determines that an automated control is functioning as intended (which could be done at the time the control is initially implemented or at some other date), the auditor may consider performing tests to determine that the control continues to function effectively. Such tests may include testing the general IT controls related to the IT application. [As amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

.A33 Similarly, the auditor may perform tests of controls that address risks of material misstatement related to the integrity of the entity's data, or the accuracy and completeness of the entity's system-generated reports, or may determine they are necessary to address risks of material misstatement because substantive procedures alone cannot provide sufficient appropriate audit evidence. These tests of controls may include tests of general IT controls that address the matters in paragraph .10a. When this is the case, the auditor may not need to perform any further testing to obtain audit evidence about the matters in paragraph .10a. [Paragraph added, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

.A34 When the auditor determines that a general IT control is deficient, the auditor may consider the nature of the related risks arising from the use of IT that were identified in

accordance with section 315¹² to provide the basis for the design of the auditor's additional procedures to address the assessed risk of material misstatement. Such procedures may address determining the following:

- Whether the related risks arising from the use of IT have occurred. For example, if users have unauthorized access to an IT application (but cannot access or modify the system logs that track access), the auditor may decide to inspect the system logs to obtain audit evidence that those users did not access the IT application during the period.
- Whether there are any alternate or redundant general IT controls, or any other controls, that address the related risks arising from the use of IT. If so, the auditor may identify such controls (if not already identified) and, therefore, evaluate their design, determine that they have been implemented, and perform tests of their operating effectiveness. For example, if a general IT control related to user access is deficient, the entity may have an alternate control whereby IT management reviews end-user access reports on a timely basis. Circumstances in which an application control may address a risk arising from the use of IT may include when the information that may be affected by the general IT control deficiency can be reconciled to external sources (for example, a bank statement) or internal sources not affected by the general IT control deficiency (for example, a separate IT application or data source).

[Paragraph added, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

Testing of Indirect Controls (Ref: par. .10b)

.A35 In some circumstances, it may be necessary to obtain audit evidence supporting the effective operation of indirect controls (for example, general IT controls). As explained in paragraphs .A33–.A34, general IT controls may have been identified in accordance with section 315 because of their support of the operating effectiveness of automated controls or due to their support in maintaining the integrity of information used in the entity's financial reporting, including system-generated reports. The requirement in paragraph .10b acknowledges that the auditor may have already tested certain indirect controls to address the matters in paragraph .10a. [Paragraph renumbered and amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

[.A36] [Paragraph renumbered and deleted by the issuance of SAS No. 145, October 2021.]

Timing of Tests of Controls

Intended Period of Reliance (Ref: par. .11)

.A37 Audit evidence pertaining only to a point in time may be sufficient for the auditor's purpose (for example, when testing controls over the entity's physical inventory counting at

¹²Paragraph .29 of section 315. [Footnote added, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145. Revised, December 2024, to reflect conforming changes necessary due to the issuance of SAS No. 145.]

the period-end). If, on the other hand, the auditor intends to rely on a control over a period, tests that are capable of providing audit evidence that the control operated effectively at relevant times during that period are appropriate. Such tests may include tests of controls in the entity's process to monitor the system of internal controls. [Paragraph renumbered and amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

Using Audit Evidence Obtained During an Interim Period (Ref: par. .12)

.A38 Relevant factors in determining what additional audit evidence to obtain about controls that were operating during the period remaining after an interim period, include the following:

- The significance of the assessed risks of material misstatement at the relevant assertion level
- The specific controls that were tested during the interim period and the results of those tests
- Significant changes to the controls since they were tested, including changes in the information system, processes, and personnel
- The degree to which audit evidence about the operating effectiveness of those controls was obtained
- The length of the remaining period
- The extent to which the auditor intends to reduce further substantive procedures based on the reliance of controls
- The effectiveness of the control environment

[Paragraph renumbered by the issuance of SAS No. 145, October 2021.]

.A39 Additional audit evidence may be obtained, for example, by extending the testing of the operating effectiveness of controls over the remaining period or testing the entity's monitoring of controls. [Paragraph renumbered by the issuance of SAS No. 145, October 2021.]

Using Audit Evidence Obtained in Previous Audits (Ref: par. .13)

.A40 In certain circumstances, audit evidence obtained from previous audits may provide audit evidence, provided that the auditor has determined whether changes have occurred since the previous audit that may affect its relevance to the current audit and its reliability. For example, in performing a previous audit, the auditor may have determined that an automated control was functioning as intended. The auditor may obtain audit evidence to determine whether changes to the automated control have been made that affect its continued effective functioning through, for example, inquiries of management and the inspection of logs to indicate what controls have been changed. Consideration of audit evidence about these changes may support either increasing or decreasing the expected

audit evidence to be obtained in the current period about the operating effectiveness of the controls. [Paragraph renumbered and amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

Controls That Have Changed From Previous Audits (Ref: par. .14a)

.A41 Changes may affect the relevance and reliability of the audit evidence obtained in previous audits such that there may no longer be a basis for continued reliance. For example, changes in a system that enable an entity to receive a new report from the system probably do not affect the relevance of audit evidence from a previous audit; however, a change that causes data to be accumulated or calculated differently does affect it. [Paragraph renumbered and amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

Controls That Have Not Changed From Previous Audits (Ref: par. .14b)

.A42 The auditor's decision on whether to rely on audit evidence obtained in previous audits for controls that

- have not changed since they were last tested and
- are not controls that mitigate a significant risk

is a matter of professional judgment. In addition, the length of time between retesting such controls is also a matter of professional judgment but is required by paragraph .14b to be at least once in every third audit. (This guidance may not be appropriate for audits not performed at least on an annual basis.) [Paragraph renumbered by the issuance of SAS No. 145, October 2021.]

.A43 In general, the higher the risk of material misstatement or the greater the reliance on controls, the shorter the time period elapsed, if any, is likely to be. Factors that may decrease the period for retesting a control or result in not relying on audit evidence obtained in previous audits at all include the following:

- A deficient control environment
- A control deficiency in the entity's process to monitor the system of internal control
- A significant manual element to the identified controls
- Personnel changes that significantly affect the application of the control
- Changing circumstances that indicate the need for changes in the control
- Deficient general IT controls

[Paragraph renumbered and amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

.A44 When there are a number of controls for which the auditor intends to rely on audit evidence obtained in previous audits, testing some of those controls in each audit provides

corroborating information about the continuing effectiveness of the control environment. This contributes to the auditor's decision about whether it is appropriate to rely on audit evidence obtained in previous audits. [Paragraph renumbered by the issuance of SAS No. 145, October 2021.]

Evaluating the Operating Effectiveness of Controls (Ref: par. .16–.17)

.A45 In accordance with section 265, *Communicating Internal Control Related Matters Identified in an Audit*, the identification by the auditor of a material misstatement of the financial statements under audit in circumstances that indicate that the misstatement would not have been detected by the entity's internal control is an indicator of a material weakness.¹³ [Paragraph renumbered by the issuance of SAS No. 145, October 2021.]

.A46 The concept of effectiveness of the operation of controls recognizes that some deviations in the way controls are applied by the entity may occur. Deviations from prescribed controls may be caused by such factors as changes in key personnel, significant seasonal fluctuations in volume of transactions, and human error. The detected rate of deviation, in particular, in comparison with the expected rate, may indicate that the control cannot be relied on to reduce risk at the relevant assertion level to that assessed by the auditor. [Paragraph renumbered by the issuance of SAS No. 145, October 2021.]

Substantive Procedures (Ref: par. .18)

.A47 Paragraph .18 requires the auditor to perform substantive procedures for each relevant assertion of each significant class of transactions, account balance, and disclosure. For such classes of transactions, account balances, and disclosures, substantive procedures may have already been performed because paragraph .06 requires the auditor to design and perform further audit procedures that are responsive to the assessed risks of material misstatement at the relevant assertion level. Accordingly, substantive procedures are required to be designed and performed in accordance with paragraph .18 when the further audit procedures designed and performed in accordance with paragraph .06 for significant classes of transactions, account balances, or disclosures, did not include substantive procedures. This requirement reflects the facts that (i) the auditor's assessment of risk is judgmental and may not identify all risks of material misstatement and (ii) inherent limitations to internal control exist, including management override. [Paragraph renumbered and amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145. Revised, December 2024, to reflect technical corrections necessary to conform with the requirement in paragraph .18 of this section.]

Nature and Extent of Substantive Procedures

.A48 Depending on the circumstances, the auditor may determine the following:

¹³Paragraph .A11 of section 265, *Communicating Internal Control Related Matters Identified in an Audit*. [Footnote renumbered by the issuance of SAS No. 145, October 2021.]

- Performing only substantive analytical procedures will be sufficient to reduce audit risk to an acceptably low level, such as, for example, when the auditor's assessment of risk is supported by audit evidence from tests of controls.
- Only tests of details are appropriate.
- A combination of substantive analytical procedures and tests of details are most responsive to the assessed risks.

[Paragraph renumbered by the issuance of SAS No. 145, October 2021.]

.A49 Substantive analytical procedures are generally more applicable to large volumes of transactions that tend to be predictable over time. Section 520 addresses the application of analytical procedures during an audit. [Paragraph renumbered by the issuance of SAS No. 145, October 2021.]

.A50 The assessment of the risk or the nature of the nature of the assertion is relevant to the design of tests of details. For example, tests of details related to the existence or occurrence assertion may involve selecting from items contained in a financial statement amount and obtaining audit evidence. On the other hand, tests of details related to the completeness assertion may involve selecting from items that are expected to be included in the relevant financial statement amount and investigating whether they are included. For example, the auditor might inspect subsequent cash disbursements and compare them with the recorded accounts payable to determine whether any purchases had been omitted from accounts payable. [As amended, effective for audits of financial statements for periods ending on or after December 15, 2022, by SAS No. 142. Paragraph renumbered and amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

.A51 Because the assessment of the risks of material misstatement takes account of controls which the auditor plans to test, the extent of substantive procedures may need to be increased when the results from tests of controls are unsatisfactory. However, increasing the extent of an audit procedure is appropriate only if the audit procedure itself is relevant to the specific risk. [Paragraph renumbered and amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

.A52 In designing tests of details, the extent of testing is ordinarily thought of in terms of the sample size. However, other matters also are relevant, including whether it is more effective to use other selective means of testing. See paragraphs .A66–.A72. [Paragraph renumbered by the issuance of SAS No. 145, October 2021.]

Considering Whether External Confirmation Procedures Are to Be Performed (Ref: par. .19–.20)

.A53 External confirmation procedures frequently may be relevant when addressing assertions associated with account balances and their elements but need not be restricted to these items. For example, the auditor may request external confirmation of the terms of agreements, contracts, or transactions between an entity and other parties. External confirmation procedures also may be performed to obtain audit evidence about the absence

of certain conditions. For example, a request may specifically seek confirmation that no "side agreement" exists that may be relevant to an entity's revenue cut-off assertion. Other situations in which external confirmation procedures may provide audit evidence in responding to assessed risks of material misstatement include the following:

- Bank balances and other information relevant to banking relationships
- Inventories held by third parties at bonded warehouses for processing or on consignment
- Property title deeds held by lawyers or financiers for safe custody or as security
- Investments held for safekeeping by third parties or purchased from stockbrokers but not delivered at the balance sheet date
- Amounts due to lenders, including relevant terms of repayment and restrictive covenants
- Accounts payable balances and terms

[As amended, effective for audits of financial statements for periods ending on or after December 15, 2022, by SAS No. 142. Paragraph renumbered by the issuance of SAS No. 145, October 2021.]

.A54 Although external confirmations may provide audit evidence relating to certain assertions, some assertions exist for which external confirmations provide less persuasive audit evidence, for example, external confirmations provide less persuasive audit evidence relating to the recoverability of accounts receivable balances than they do of their existence. [As amended, effective for audits of financial statements for periods ending on or after December 15, 2022, by SAS No. 142. Paragraph renumbered by the issuance of SAS No. 145, October 2021.]

.A55 The auditor may determine that external confirmation procedures performed for one purpose provide an opportunity to obtain audit evidence about other matters. For example, confirmation requests for bank balances often include requests for information relevant to other financial statement assertions. Such considerations may influence the auditor's decision about whether to perform external confirmation procedures. [Paragraph renumbered by the issuance of SAS No. 145, October 2021.]

.A56 Factors that may assist the auditor in determining whether external confirmation procedures are to be performed as substantive audit procedures include the following:

- The confirming party's knowledge of the subject matter. Responses may be more reliable if provided by a person at the confirming party who has the requisite knowledge about the information being confirmed.
- The ability or willingness of the intended confirming party to respond. For example, the confirming party
 - may not accept responsibility for responding to a confirmation request,

- may consider responding too costly or time consuming,
- may have concerns about the potential legal liability resulting from responding,
- may account for transactions in different currencies, or
- may operate in an environment in which responding to confirmation requests is not a significant aspect of day-to-day operations.

In such situations, confirming parties may not respond, may respond in a casual manner, or may attempt to restrict the reliance placed on the response.

- The objectivity of the intended confirming party. If the confirming party is a related party of the entity, responses to confirmation requests may be less reliable.

[Paragraph renumbered by the issuance of SAS No. 145, October 2021.]

.A57 For purposes of this section, *accounts receivable* means

- a. the entity's claims against customers that have arisen from the sale of goods or services in the normal course of business; and
- b. a financial institution's loans.

[Paragraph renumbered by the issuance of SAS No. 145, October 2021.]

.A58 External confirmation procedures may be ineffective when, based on prior years' audit experience or experience with similar entities

- response rates to properly designed confirmation requests will be inadequate; or
- responses are known or expected to be unreliable.

If the auditor has experienced poor response rates to properly designed confirmation requests in prior audits, the auditor may instead consider changing the manner in which the confirmation process is performed, with the objective of increasing the response rates, or may consider obtaining audit evidence from other sources. [Paragraph renumbered by the issuance of SAS No. 145, October 2021.]

Substantive Procedures Related to the Financial Statement Closing Process (Ref: par. .21b)

.A59 The nature and also the extent of the auditor's substantive procedures related to the financial statement closing process, including testing the appropriateness of journal entries and other adjustments, depends on the nature and complexity of the entity's financial reporting process and the related risks of material misstatement. [As amended, effective for audits of financial statements for periods ending on or after December 15, 2021, by SAS No. 134. Paragraph renumbered by the issuance of SAS No. 145, October 2021.]

Substantive Procedures Responsive to Significant Risks (Ref: par. .22)

.A60 Paragraph .22 requires the auditor to perform substantive procedures that are specifically responsive to risks the auditor has determined to be significant risks. Because

significant unusual transactions can affect the risks of material misstatement due to error or fraud, substantive procedures that take into account the types of potential misstatements that could result from significant unusual transactions may be necessary, including procedures performed pursuant to paragraph .32 of section 240. [Paragraph added, effective for audits of financial statements for periods ending on or after December 15, 2021, by SAS No. 135. Paragraph renumbered by the issuance of SAS No. 145, October 2021.]

.A61 Audit evidence in the form of external confirmations received directly by the auditor from appropriate confirming parties may assist the auditor in obtaining audit evidence that the auditor requires to respond to significant risks of material misstatement, whether due to fraud or error. For example, if the auditor identifies that management is under pressure to meet earnings expectations, a risk may exist that management is inflating sales by improperly recognizing revenue related to sales agreements with terms that preclude revenue recognition or by invoicing sales before shipment. In these circumstances, the auditor may, for example, design external confirmation procedures not only to confirm outstanding amounts but also to confirm the details of the sales agreements, including date, any rights of return, and delivery terms. In addition, the auditor may find it effective to supplement such external confirmation procedures with inquiries of nonfinancial personnel in the entity regarding any changes in sales agreements and delivery terms. [Paragraph renumbered by the issuance of SAS No. 135, May 2019. As amended, effective for audits of financial statements for periods ending on or after December 15, 2022, by SAS No. 142. Paragraph subsequently renumbered by the issuance of SAS No. 145, October 2021.]

Timing of Substantive Procedures (Ref: par. .23)

.A62 In most cases, audit evidence from a previous audit's substantive procedures provides little or no audit evidence for the current period. However, exceptions exist (for example, a legal opinion obtained in a previous audit related to the structure of a securitization to which no changes have occurred may be relevant in the current period). In such cases, it may be appropriate to use audit evidence from a previous audit's substantive procedures if that evidence and the related subject matter have not fundamentally changed and audit procedures have been performed during the current period to establish its continuing relevance. [Paragraph renumbered by the issuance of SAS No. 135, May 2019. Paragraph subsequently renumbered by the issuance of SAS No. 145, October 2021.]

Using Audit Evidence Obtained During an Interim Period (Ref: par. .23)

.A63 In some circumstances, the auditor may determine that it is effective to perform substantive procedures at an interim date and compare and reconcile information concerning the balance at the period-end with the comparable information at the interim date to

- a. identify amounts that appear unusual,
- b. investigate any such amounts, and
- c. perform substantive analytical procedures or tests of details to test the intervening period.

[Paragraph renumbered by the issuance of SAS No. 135, May 2019. Paragraph subsequently renumbered by the issuance of SAS No. 145, October 2021.]

.A64 Performing substantive procedures at an interim date without undertaking additional procedures at a later date increases the risk that the auditor will not detect misstatements that may exist at the period-end. This risk increases as the remaining period is lengthened. Factors such as the following may influence whether to perform substantive procedures at an interim date:

- The effectiveness of the control environment and other controls
- The availability at a later date of information necessary for the auditor's procedures
- The purpose of the substantive procedure
- The assessed risk of material misstatement
- The nature of the class of transactions or account balance and relevant assertions
- The ability of the auditor to perform appropriate substantive procedures or substantive procedures combined with tests of controls to cover the remaining period in order to reduce the risk that misstatements that may exist at the period-end will not be detected

[Paragraph renumbered by the issuance of SAS No. 135, May 2019. Paragraph subsequently renumbered and amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

.A65 In circumstances in which the auditor has identified risks of material misstatement due to fraud, the auditor's responses to address those risks may include changing the timing of audit procedures. For example, the auditor might conclude that, given the risks of intentional misstatement or manipulation, audit procedures to extend audit conclusions from an interim date to the period-end reporting date would not be effective. In such circumstances, the auditor might conclude that substantive procedures performed at or near the end of the reporting period best address an identified risk of material misstatement due to fraud. [Paragraph renumbered by the issuance of SAS No. 135, May 2019. Paragraph subsequently renumbered by the issuance of SAS No. 145, October 2021.]

.A66 Factors such as the following may influence whether to perform substantive analytical procedures with respect to the period between the interim date and the period-end:

- Whether the period-end balances of the particular classes of transactions or account balances are reasonably predictable with respect to amount, relative significance, and composition
- Whether the entity's procedures for analyzing and adjusting such classes of transactions or account balances at interim dates and establishing proper accounting cutoffs are appropriate

- Whether the information system will provide information concerning the balances at the period-end and the transactions in the remaining period that is sufficient to permit investigation of the following:
 - Significant unusual transactions or entries (including those at or near the period-end)
 - Other causes of significant fluctuations or expected fluctuations that did not occur
 - Changes in the composition of the classes of transactions or account balances

[Paragraph renumbered by the issuance of SAS No. 135, May 2019. Paragraph subsequently renumbered and amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

Misstatements Detected at an Interim Date (Ref: par. .24)

.A67 When the auditor concludes that the planned nature, timing, or extent of substantive procedures covering the remaining period need to be modified as a result of unexpected misstatements detected at an interim date, such modification may include extending or repeating, at the period-end, the procedures performed at the interim date. [Paragraph renumbered by the issuance of SAS No. 135, May 2019. Paragraph subsequently renumbered by the issuance of SAS No. 145, October 2021.]

Selecting Items for Testing to Obtain Audit Evidence (Ref: par. .25)

.A68 An effective test provides appropriate audit evidence to the extent that it will be sufficient for the auditor's purpose when taken with other audit evidence obtained or to be obtained. In selecting items for testing, the auditor is required by section 500 to consider the relevance and reliability of information to be used as audit evidence;¹⁴ the other aspect of effectiveness (extent) is an important consideration in selecting items to test. The means available to the auditor for selecting items for testing are

- a. selecting all items (100 percent examination),
- b. selecting specific items, and
- c. audit sampling.

[Paragraph renumbered by the issuance of SAS No. 135, May 2019. As amended, effective for audits of financial statements for periods ending on or after December 15, 2022, by SAS No. 142. Paragraph subsequently renumbered by the issuance of SAS No. 145, October 2021.]

.A69 The application of any one or combination of these means may be appropriate depending on the particular circumstances (for example, the risks of material misstatement related to the assertion being tested and the practicality and efficiency of the different

¹⁴Paragraph .07 of section 500. [Footnote renumbered by the issuance of SAS No. 145, October 2021.]

means). [Paragraph renumbered by the issuance of SAS No. 135, May 2019. Paragraph subsequently renumbered by the issuance of SAS No. 145, October 2021.]

Selecting All Items

.A70 The auditor may decide that it will be most appropriate to examine the entire population of items that make up a class of transactions or account balance (or a stratum within that population). A 100 percent examination is unlikely in the case of tests of controls; however, it may be more common for tests of details. A 100 percent examination may be appropriate when, for example

- the population constitutes a small number of large value items,
- a significant risk exists and other means do not provide sufficient appropriate audit evidence, or
- the repetitive nature of a calculation or other process performed automatically by an information system makes a 100 percent examination cost effective.

[Paragraph renumbered by the issuance of SAS No. 135, May 2019. Paragraph subsequently renumbered by the issuance of SAS No. 145, October 2021.]

Selecting Specific Items

.A71 The auditor may decide to select specific items from a population. In making this decision, factors that may be relevant include the auditor's understanding of the entity, the assessed risks of material misstatement, and the characteristics of the population being tested. The judgmental selection of specific items is subject to nonsampling risk. Specific items selected may include

- high value or key items. The auditor may decide to select specific items within a population because they are of high value or exhibit some other characteristic (for example, items that are suspicious, unusual, particularly risk prone, or have a history of error).
- all items over a certain amount. The auditor may decide to examine items whose recorded values exceed a certain amount in order to verify a large proportion of the total amount of a class of transactions or account balance.
- items to obtain information. The auditor may examine items to obtain information about matters such as the nature of the entity or the nature of transactions.

[Paragraph renumbered by the issuance of SAS No. 135, May 2019. Paragraph subsequently renumbered by the issuance of SAS No. 145, October 2021.]

.A72 Although selective examination of specific items from a class of transactions or account balance often will be an efficient means of obtaining audit evidence, it does not constitute audit sampling. Consequently, the results of audit procedures applied to items selected in this way cannot be projected to the entire population; furthermore, selective examination of

specific items does not, by itself, provide sufficient appropriate audit evidence concerning the remainder of the population. [Paragraph renumbered by the issuance of SAS No. 135, May 2019. Paragraph subsequently renumbered by the issuance of SAS No. 145, October 2021.]

Audit Sampling

.A73 Audit sampling is designed to enable conclusions to be drawn about an entire population on the basis of testing a sample drawn from the population. Audit sampling is discussed in section 530. [Paragraph renumbered by the issuance of SAS No. 135, May 2019. Paragraph subsequently renumbered by the issuance of SAS No. 145, October 2021.]

.A74 Valid conclusions ordinarily may be drawn using sampling approaches. However, if the sample size is too small, the sampling approach or the method of selection is not appropriate to achieve the specific audit objective or exceptions are not appropriately followed up, an unacceptable risk will exist that the auditor's conclusion based on a sample may be different from the conclusion reached if the entire population was subjected to the same audit procedure. Section 530 addresses planning, performing, and evaluating audit samples. [Paragraph renumbered by the issuance of SAS No. 135, May 2019. Paragraph subsequently renumbered by the issuance of SAS No. 145, October 2021.]

Adequacy of Presentation of the Financial Statements (Ref: par. .26)

.A75 Evaluating the appropriate presentation, structure, and content of the financial statements includes, for example, consideration of the terminology used as required by the applicable financial reporting framework, the level of detail provided, the aggregation and disaggregation of amounts, and the bases of amounts set forth. [As amended, effective for audits of financial statements for periods ending on or after December 15, 2021, by SAS No. 134. Paragraph renumbered by the issuance of SAS No. 135, May 2019. Paragraph subsequently renumbered by the issuance of SAS No. 145, October 2021.]

Evaluating the Sufficiency and Appropriateness of Audit Evidence (Ref: par. .27–.28)

.A76 An audit of financial statements is a cumulative and iterative process. As the auditor performs planned audit procedures, the audit evidence obtained may cause the auditor to modify the nature, timing, or extent of other planned audit procedures. Information may come to the auditor's attention that differs significantly from the information on which the risk assessments were based. For example

- the extent of misstatements that the auditor detects by performing substantive procedures may alter the auditor's professional judgment about the risk assessments and indicate a significant deficiency or material weakness in internal control.
- the auditor may become aware of discrepancies in accounting records or conflicting or missing evidence.

- analytical procedures performed at the overall review stage of the audit may indicate a previously unrecognized risk of material misstatement.

In such circumstances, the auditor may need to reevaluate the planned audit procedures, based on the revised consideration of assessed risks of material misstatement and the effect on the significant classes of transactions, account balances, or disclosures and their relevant assertions. Section 315 contains further guidance on revising the auditor's risk assessment.¹⁵ [Paragraph renumbered by the issuance of SAS No. 135, May 2019. Paragraph subsequently renumbered and amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

.A77 By performing audit procedures, the auditor may determine that the accounting records are internally consistent and agree to the financial statements. However, accounting records alone do not provide sufficient appropriate audit evidence on which to base an audit opinion on the financial statements. [Paragraph added, effective for audits of financial statements for periods ending on or after December 15, 2022, by SAS No. 142. Paragraph renumbered by the issuance of SAS No. 145, October 2021.]

.A78 The auditor cannot assume that an instance of fraud or error is an isolated occurrence. Therefore, the consideration of how the detection of a misstatement affects the assessed risks of material misstatement is important in determining whether the assessment remains appropriate. [Paragraph renumbered by the issuance of SAS No. 135, May 2019. Paragraph subsequently renumbered by the issuance of SAS No. 142, July 2020. Paragraph subsequently renumbered by the issuance of SAS No. 145, October 2021.]

.A79 The auditor's conclusion of whether sufficient appropriate audit evidence has been obtained is both at the relevant assertion level as well as the financial statement level. Section 500 enables the auditor to evaluate the results of audit procedures to inform the auditor's overall conclusion about whether sufficient appropriate audit evidence has been obtained as required by paragraph .28. The auditor's professional judgment about what constitutes sufficient appropriate audit evidence is influenced by the following additional factors:

- Significance of the potential misstatement in the relevant assertion and the likelihood of its having a material effect, individually or aggregated with other potential misstatements, on the financial statements (see section 450, *Evaluation of Misstatements Identified During the Audit*)
- Effectiveness of management's responses and controls to address the risks
- Experience gained during previous audits with respect to similar potential misstatements
- Whether the audit procedures that were performed identified specific instances of fraud or error

¹⁵Paragraph .32 of section 315. [Footnote renumbered by the issuance of SAS No. 145, October 2021.]

- Understanding of the entity and its environment, the applicable financial reporting framework, and the entity's system of internal control

[Paragraph renumbered by the issuance of SAS No. 135, May 2019. Paragraph subsequently renumbered and amended, effective for audits of financial statements for periods ending on or after December 15, 2022, by SAS No. 142. Paragraph subsequently renumbered and amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

Documentation (Ref: par. .30)

.A80 The form and extent of audit documentation is a matter of professional judgment and is influenced by the nature, size, and complexity of the entity; system of internal control of the entity; availability of information from the entity; and the audit methodology and technology used in the audit. [Paragraph renumbered by the issuance of SAS No. 135, May 2019. Paragraph subsequently renumbered by the issuance of SAS No. 142, July 2020. Paragraph subsequently renumbered and amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

AU-C Section 402

Audit Considerations Relating to an Entity Using a Service Organization

Source: SAS No. 122; SAS No. 128; SAS No. 130; SAS No. 145.

See section 9402 for interpretations of this section.

Effective for audits of financial statements for periods ending on or after December 15, 2012, unless otherwise indicated.



Note

In March 2023, the Auditing Standards Board issued SAS No. 149, *Special Considerations — Audits of Group Financial Statements (Including the Work of Component Auditors and Audits of Referred-to Auditors)*, which contains amendments to this section.

The amendments are effective for audits of financial statements for periods ending on or after December 15, 2026, and can be viewed in appendix C of section 600 until the effective date, when they will be applied to this section.

Introduction

Scope of This Section

.01 This section addresses the user auditor's responsibility for obtaining sufficient appropriate audit evidence in an audit of the financial statements of a user entity that uses one or more service organizations. Specifically, it expands on how the user auditor applies section 315, *Understanding the Entity and Its Environment and Assessing the Risks of Material Misstatement*, and section 330, *Performing Audit Procedures in Response to Assessed Risks and Evaluating the Audit Evidence Obtained*, in obtaining an understanding of the user entity, including the entity's system of internal control relevant to the preparation of the financial statements, sufficient to identify and assess the risks of material misstatement and in designing and performing further audit procedures responsive to those risks. [As amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

.02 Many entities outsource aspects of their business activities to organizations that provide services ranging from performing a specific task under the direction of the entity to

replacing entire business units or functions of the entity. Many of the services provided by such organizations are integral to the entity's business operations; however, not all of those services are relevant to the audit.

.03 Services provided by a service organization are relevant to the audit of a user entity's financial statements when those services and the controls over them affect the user entity's information system relevant to the preparation of the financial statements. Most controls at the service organization are likely to be part of the user entity's information system relevant to the preparation of the financial statements or other related controls, such as controls over the safeguarding of assets. A service organization's services are part of a user entity's information system if these services affect any of the following:

- a. How information relating to significant classes of transactions, account balances, and disclosures flows through the user entity's information system, whether manually or using IT, and whether obtained from within or outside the general ledger and subsidiary ledgers. This includes when the service organization affects the following:
 - i. How transactions of the user entity are initiated and how information about them is recorded, processed, corrected as necessary, and incorporated in the general ledger and reported in the financial statements
 - ii. How information about events or conditions, other than transactions, is captured, processed, and disclosed by the user entity in the financial statements
- b. The accounting records, specific accounts in the user entity's financial statements, and other supporting records relating to the flows of information in paragraph .03a.
- c. The financial reporting process used to prepare the user entity's financial statements from the records described in paragraph .03b, including as it relates to disclosures and accounting estimates relating to significant classes of transactions, account balances, and disclosures
- d. The entity's IT environment relevant to preceding subparagraphs (a)–(c)

[As amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

.04 The nature and extent of work to be performed by the user auditor regarding the services provided by a service organization depend on the nature and significance of those services to the user entity and the relevance of those services to the audit.

.05 This section does not apply to services that are limited to processing an entity's transactions that are specifically authorized by the entity, such as the processing of checking account transactions by a bank or the processing of securities transactions by a broker (that is, when the user entity retains responsibility for authorizing the transactions and maintaining the related accountability). In addition, this section does not apply to the audit of transactions arising from an entity that holds a proprietary financial interest in another entity, such as a partnership, corporation, or joint venture, when the partnership, corporation, or joint venture performs no processing on behalf of the entity.

Effective Date

.06 This section is effective for audits of financial statements for periods ending on or after December 15, 2012.

Objectives

.07 The objectives of the user auditor, when the user entity uses the services of a service organization, are to

- a. obtain an understanding of the nature and significance of the services provided by the service organization and their effect on the user entity's system of internal control sufficient to provide an appropriate basis for the identification and assessment of the risks of material misstatement.
- b. design and perform audit procedures responsive to those risks.

[As amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

Definitions

.08 For purposes of generally accepted auditing standards, the following terms have the meanings attributed as follows:

Complementary user entity controls. Controls that management of the service organization assumes, in the design of its service, will be implemented by user entities and are necessary to achieve the control objectives stated in management's description of the service organization's system.

Management's description of a service organization's system and a service auditor's report on that description and on the suitability of the design of controls (referred to in this section as a *type 1 report*). A report that comprises the following:

- a. Management's description of the service organization's system
- b. A written assertion by management of the service organization about whether, in all material respects, and based on suitable criteria
 - i. management's description of the service organization's system fairly presents the service organization's system that was designed and implemented as of a specified date
 - ii. the controls related to the control objectives stated in management's description of the service organization's system were suitably designed to achieve those control objectives as of the specified date
- c. A service auditor's report that expresses an opinion on the matters in *b(i–ii)*

Management’s description of a service organization’s system and a service auditor’s report on that description and on the suitability of the design and operating effectiveness of controls (referred to in this section as a *type 2 report*). A report that comprises the following:

- a. Management’s description of the service organization’s system
- b. A written assertion by management of the service organization about whether in all material respects and, based on suitable criteria
 - i. management’s description of the service organization’s system fairly presents the service organization’s system that was designed and implemented throughout the specified period
 - ii. the controls related to the control objectives stated in management’s description of the service organization’s system were suitably designed throughout the specified period to achieve those control objectives
 - iii. the controls related to the control objectives stated in management’s description of the service organization’s system operated effectively throughout the specified period to achieve those control objectives
- c. A service auditor’s report that
 - i. expresses an opinion on the matters in *b(i–iii)*
 - ii. includes a description of the service auditor’s tests of controls and the results thereof

Service auditor. A practitioner who reports on controls at a service organization.

Service organization. An organization or segment of an organization that provides services to user entities that are relevant to those user entities’ internal control over financial reporting.

Service organization’s system. The policies and procedures designed, implemented, and documented by management of the service organization to provide user entities with the services covered by the service auditor’s report. Management’s description of the service organization’s system identifies the services covered, the period to which the description relates (or in the case of a type 1 report, the date to which the description relates), the control objectives specified by management or an outside party, the party specifying the control objectives (if not specified by management), and the related controls.

Subservice organization. A service organization used by another service organization to perform some of the services provided to user entities that are relevant to those user entities’ internal control over financial reporting. (Ref: par. .A20)

User auditor. An auditor who audits and reports on the financial statements of a user entity.

User entity. An entity that uses a service organization and whose financial statements are being audited.

[Revised, December 2016, to reflect conforming changes necessary to reflect the issuance of SSAE No. 18.]

Requirements

Obtaining an Understanding of the Services Provided by a Service Organization, Including Internal Control

.09 When obtaining an understanding of the user entity in accordance with section 315, the user auditor should obtain an understanding of how the user entity uses the services of a service organization in the user entity's operations, including the following:¹ (Ref: par. .A1–.A2)

- a. The nature of the services provided by the service organization and the significance of those services to the user entity, including their effect on the user entity's internal control (Ref: par. .A3–.A5)
- b. The nature and materiality of the transactions processed or accounts or financial reporting processes affected by the service organization (Ref: par. .A6)
- c. The degree of interaction between the activities of the service organization and those of the user entity (Ref: par. .A7)
- d. The nature of the relationship between the user entity and the service organization, including the relevant contractual terms for the activities undertaken by the service organization (Ref: par. .A8–.A11)

.10 When obtaining an understanding of the entity's system of internal control in accordance with section 315,² the user auditor should identify controls in the control activities component at the user entity from those that relate to the services provided by the service organization, including those that are applied to the transactions processed by the service organization, and evaluate their design and determine whether they have been implemented.³ (Ref: par. .A12–.A14) [As amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

.11 The user auditor should determine whether a sufficient understanding of the nature and significance of the services provided by the service organization and their effect on the user entity's system of internal control has been obtained to provide an appropriate basis for the identification and assessment of the risks of material misstatement. [As amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

¹Paragraph .12 of section 315, *Understanding the Entity and Its Environment and Assessing the Risks of Material Misstatement*.

²Paragraph .27 of section 315. [Footnote added, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

³Paragraph .29 of section 315. [Footnote renumbered and amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

.12 If the user auditor is unable to obtain a sufficient understanding from the user entity, the user auditor should obtain that understanding from one or more of the following procedures:

- a. Obtaining and reading a type 1 or type 2 report, if available
- b. Contacting the service organization, through the user entity, to obtain specific information
- c. Visiting the service organization and performing procedures that will provide the necessary information about the controls at the service organization that address risks of material misstatement at the assertion level in accordance with section 315⁴
- d. Using another auditor to perform procedures that will provide the necessary information about the controls at the service organization that address risks of material misstatement at the assertion level in accordance with section 315⁵ (Ref: par. .A15–.A20)

[As amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

Using a Type 1 or Type 2 Report to Support the User Auditor's Understanding of the Service Organization

.13 In determining the sufficiency and appropriateness of the audit evidence provided by a type 1 or type 2 report, the user auditor should be satisfied regarding the following:

- a. The service auditor's professional competence and independence from the service organization
- b. The adequacy of the standards under which the type 1 or type 2 report was issued (Ref: par. .A21–.A23)

[As amended, effective for audits for periods ending on or after December 15, 2016, by SAS No. 130.]

.14 If the user auditor plans to use a type 1 or type 2 report as audit evidence to support the user auditor's understanding about the design and implementation of identified controls at the service organization, the user auditor should

- a. evaluate whether the type 1 report is as of a date, or in the case of a type 2 report, is for a period that is appropriate for the user auditor's purposes;

⁴Paragraphs .27 and .29b of section 315. [Footnote added, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

⁵Paragraphs .35–.37 of section 315. [Footnote added, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

- b. evaluate the sufficiency and appropriateness of the evidence provided by the report for the understanding of the identified controls at the service organization; and
- c. determine whether complementary user entity controls identified by the service organization address the risks of material misstatement relating to the relevant assertions in the user entity's financial statements and, if so, obtain an understanding of whether the user entity has designed and implemented such controls. (Ref: par. .A24–.A25)

[As amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

Responding to the Assessed Risks of Material Misstatement

.15 In responding to assessed risks in accordance with section 330, the user auditor should

- a. determine whether sufficient appropriate audit evidence concerning the relevant financial statement assertions is available from records held at the user entity and, if not,
- b. perform further audit procedures to obtain sufficient appropriate audit evidence or use another auditor to perform those procedures at the service organization on the user auditor's behalf. (Ref: par. .A26–.A30)

Tests of Controls

.16 When the user auditor's risk assessment includes an expectation that controls at the service organization are operating effectively, the user auditor should obtain audit evidence about the operating effectiveness of those controls from one or more of the following procedures:

- a. Obtaining and reading a type 2 report, if available
- b. Performing appropriate tests of controls at the service organization
- c. Using another auditor to perform tests of controls at the service organization on behalf of the user auditor (Ref: par. .A31–.A32)

Using a Type 2 Report as Audit Evidence That Controls at the Service Organization Are Operating Effectively

.17 If, in accordance with paragraph .16a, the user auditor plans to use a type 2 report as audit evidence that identified controls at the service organization are operating effectively, the user auditor should determine whether the service auditor's report provides sufficient appropriate audit evidence about the effectiveness of the controls to support the user auditor's risk assessment by

- a. evaluating whether the type 2 report is for a period that is appropriate for the user auditor's purposes;
- b. determining whether complementary user entity controls identified by the service organization address the risks of material misstatement relating to the relevant assertions in the user entity's financial statements and, if so, obtaining an understanding of whether the user entity has designed and implemented such controls and, if so, testing their operating effectiveness;
- c. evaluating the adequacy of the time period covered by the tests of controls and the time elapsed since the performance of the tests of controls; and
- d. evaluating whether the tests of controls performed by the service auditor and the results thereof, as described in the service auditor's report, are relevant to the assertions in the user entity's financial statements and provide sufficient appropriate audit evidence to support the user auditor's risk assessment. (Ref: par. .A33–.A41)

[As amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

Type 1 and Type 2 Reports That Exclude the Services of a Subservice Organization

.18 If the user auditor plans to use a type 1 or a type 2 report that excludes the services provided by a subservice organization and those services are relevant to the audit of the user entity's financial statements, the user auditor should apply the requirements of this section with respect to the services provided by the subservice organization. (Ref: par. .A42)

Fraud, Noncompliance With Laws and Regulations, and Uncorrected Misstatements Related to Activities at the Service Organization

.19 The user auditor should inquire of management of the user entity about whether the service organization has reported to the user entity, or whether the user entity is otherwise aware of, any fraud, noncompliance with laws and regulations, or uncorrected misstatements affecting the financial statements of the user entity. The user auditor should evaluate how such matters, if any, affect the nature, timing, and extent of the user auditor's further audit procedures, including the effect on the user auditor's conclusions and user auditor's report. (Ref: par. .A43)

Reporting by the User Auditor

.20 The user auditor should modify the opinion in the user auditor's report in accordance with section 705, *Modifications to the Opinion in the Independent Auditor's Report*, if the user auditor is unable to obtain sufficient appropriate audit evidence regarding the services provided by the service organization relevant to the audit of the user entity's financial statements. (Ref: par. .A44)

.21 The user auditor should not refer to the work of a service auditor in the user auditor's report containing an unmodified opinion. (Ref: par. .A45)

.22 If reference to the work of a service auditor is relevant to an understanding of a modification of the user auditor’s opinion, the user auditor’s report should indicate that such reference does not diminish the user auditor’s responsibility for that opinion. (Ref: par. .A45)

Application and Other Explanatory Material

Obtaining an Understanding of the Services Provided by a Service Organization, Including Internal Control

Sources of Information (Ref: par. .09)

.A1 Information about the nature of the services provided by a service organization may be available from a wide variety of sources, such as the following:

- User manuals
- System overviews
- Technical manuals
- The contract or service level agreement between the user entity and the service organization
- Reports by service organizations, the internal audit function, or regulatory authorities on controls at the service organization
- Reports by the service auditor, if available

[As amended, effective for audits of financial statements for periods ending on or after December 15, 2014, by SAS No. 128.]

.A2 Knowledge obtained through the user auditor’s experience with the service organization—for example, through experience with other audit engagements—may also be helpful in obtaining an understanding of the nature of the services provided by the service organization. This may be particularly helpful if the services and controls at the service organization over those services are highly standardized.

Nature of the Services Provided by the Service Organization (Ref: par. .09a)

.A3 A user entity may use a service organization, such as one that processes transactions and maintains the related accountability for the user entity or records transactions and processes related data. Service organizations that provide such services include, for example, bank trust departments that invest and service assets for employee benefit plans or for others, mortgage servicers that service mortgages for others, and application service providers that provide packaged software applications and a technology environment that enables customers to process financial and operational transactions.

.A4 Examples of services provided by service organizations that may be relevant to the audit include the following:

- Maintenance of the user entity's accounting records
- Management of the user entity's assets
- Initiating, authorizing, recording, or processing transactions as an agent of the user entity

Considerations Specific to Smaller Entities

.A5 Smaller entities may use external bookkeeping services ranging from the processing of certain transactions (for example, payment of payroll taxes) and maintenance of their accounting records to the preparation of their financial statements. The use of such a service organization for the preparation of its financial statements does not relieve management of the smaller entity and, when appropriate, those charged with governance of their responsibilities for the financial statements.⁶

Nature and Materiality of Transactions Processed by the Service Organization (Ref: par. .09b)

.A6 A service organization may establish policies and procedures (controls) that affect the user entity's internal control. These controls are at least in part physically and operationally separate from the user entity. The significance of the controls at the service organization to the user entity's internal control depends on the nature of the services provided by the service organization, including the nature and materiality of the transactions it processes for the user entity. In certain situations, the transactions processed and the accounts affected by the service organization may not appear to be material to the user entity's financial statements, but the nature of the transactions processed may be significant and the user auditor may determine that an understanding of controls over the processing of those transactions is necessary in the circumstances.

The Degree of Interaction Between the Activities of the Service Organization and the User Entity (Ref: par. .09c)

.A7 The significance of the controls at the service organization to the user entity's internal control also depends on the degree of interaction between the service organization's activities and those of the user entity. The degree of interaction refers to the extent to which a user entity is able to and elects to implement effective controls over the processing performed by the service organization. For example, a high degree of interaction exists between the activities of the user entity and those at the service organization when the user entity authorizes transactions and the service organization processes and accounts for those transactions. In these circumstances, it may be practicable for the user entity to implement effective controls over those transactions. On the other hand, when the service organization initiates or initially records, processes, and accounts for the user entity's transactions, a lower degree of interaction exists between the two organizations. In these circumstances, the

⁶Paragraph .05 of section 200, *Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance With Generally Accepted Auditing Standards*. [Footnote renumbered by the issuance of SAS No. 145, October 2021.]

user entity may be unable to, or may elect not to, implement effective controls over these transactions at the user entity and may rely on controls at the service organization.

Nature of the Relationship Between the User Entity and the Service Organization (Ref: par. .09d)

.A8 The contract or service level agreement between the user entity and the service organization may provide for matters such as the following:

- The information to be provided to the user entity and the responsibilities for initiating transactions relating to the activities undertaken by the service organization
- Complying with the requirements of regulatory bodies concerning the form of records to be maintained or access to them
- The indemnification, if any, to be provided to the user entity in the event of a performance failure
- Whether the service organization will provide a report on its controls and, if so, whether such a report will be a type 1 or type 2 report
- Whether the user auditor has rights of access to the accounting records of the user entity maintained by the service organization and other information necessary for the conduct of the audit
- Whether the agreement allows for direct communication between the user auditor and the service auditor

.A9 A direct relationship exists between the service organization and the user entity when the user entity enters into an agreement with the service organization, and between the service organization and the service auditor when the service organization engages the service auditor. These relationships do not create a direct relationship between the user auditor and the service auditor.

.A10 Communications between the user auditor and the service auditor usually are conducted through the user entity and the service organization. A user auditor may request through the user entity that a service auditor perform procedures for the benefit of the user auditor. For example, a service auditor may be engaged by the service organization to perform an agreed-upon procedures engagement related to testing controls at a service organization or performing procedures related to a user entity's transactions or balances maintained by the service organization. AT-C section 215, *Agreed-Upon Procedures Engagements*, establishes standards and provides guidance for agreed-upon procedures engagements. [Revised, April 2017, to reflect conforming changes necessary due to the issuance of SSAE No. 18.]

Considerations Specific to Governmental Entities

.A11 For governmental entities, the auditor may be required to perform audit procedures with respect to the entity's compliance with laws and regulations. Such required procedures may include obtaining an understanding of internal control over compliance, performing

tests of controls over compliance, and performing tests of compliance. Consequently, auditors of governmental entities that use a service organization may determine that it is appropriate to request, through the governmental entity, that the service auditor perform specified compliance-related audit procedures with respect to services provided by the service organization.⁷

Understanding the Controls Relating to Services Provided by the Service Organization (Ref: par. .10)

.A12 The user entity may establish controls over the service organization's services that may be tested by the user auditor and that may enable the user auditor to conclude that the user entity's controls are operating effectively for some or all of the related assertions, regardless of the controls in place at the service organization. If a user entity, for example, uses a service organization to process its payroll transactions, the user entity may establish controls over the submission and receipt of payroll information that could prevent, or detect and correct, material misstatements. These controls may include the following:

- Comparing the data submitted to the service organization with reports of information received from the service organization after the data has been processed
- Recomputing a sample of the payroll amounts for clerical accuracy and reviewing the total amount of the payroll for reasonableness

.A13 In this situation, the user auditor may perform tests of the user entity's controls over payroll processing that would provide a basis for the user auditor to conclude that the user entity's controls are operating effectively for the assertions related to payroll transactions.

.A14 As noted in section 315, for some risks the auditor may judge that it is not possible or practicable to obtain sufficient appropriate audit evidence only from substantive procedures.⁸ Such risks may relate to the inaccurate or incomplete recording of routine and significant classes of transactions and account balances that may involve highly automated processing with little or no manual intervention. Risks related to such automated processing may be particularly present when the user entity uses a service organization. In such cases, the user auditor is required to identify controls over such risks and to evaluate the design of such controls and determine whether they have been implemented in accordance with paragraph .10 of this section. [As amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

Further Procedures When a Sufficient Understanding Cannot Be Obtained From the User Entity (Ref: par. .12)

.A15 The user auditor's decision regarding which procedure, individually or in combination, in paragraph .12 to undertake in order to obtain the information necessary to provide a basis for the identification and assessment of the risks of material misstatement regarding

⁷Section 935, *Compliance Audits*, addresses audits of an entity's compliance.

⁸Paragraph .31 of section 315. [Footnote renumbered by the issuance of SAS No. 145, October 2021.]

the user entity's use of the service organization, may be influenced by such matters as the following:

- The size of both the user entity and the service organization
- The complexity of the transactions at the user entity and the complexity of the services provided by the service organization
- The location of the service organization (for example, the user auditor may decide to use another auditor to perform procedures at the service organization on the user auditor's behalf if the service organization is in a remote location)
- Whether the procedure(s) is expected to effectively provide the user auditor with sufficient appropriate audit evidence
- The nature of the relationship between the user entity and the service organization

.A16 A service organization may engage a service auditor to report on the description and design of its controls (type 1 report) or on the description and design of its controls and their operating effectiveness (type 2 report). Type 1 or type 2 reports may be issued under AT-C section 320, *Reporting on an Examination of Controls at a Service Organization Relevant to User Entities' Internal Control Over Financial Reporting*, or under standards promulgated by an authorized or recognized standards-setting organization (for example, the International Auditing and Assurance Standards Board). [Revised, April 2017, to reflect conforming changes necessary due to the issuance of SSAE No. 18.]

.A17 The availability of a type 1 or type 2 report generally will depend on whether the contract between the service organization and the user entity includes the provision of such a report by the service organization. A service organization may also elect, for practical reasons, to make a type 1 or type 2 report available to the user entities. However, in some cases, a type 1 or type 2 report may not be available to user entities.

.A18 In some circumstances, a user entity may outsource one or more significant business units or functions, such as its entire tax planning and compliance functions, finance and accounting functions, or the controllership function to one or more service organizations. As a report on controls at the service organization may not be available in these circumstances, visiting the service organization may be the most effective procedure for the user auditor to gain an understanding of controls at the service organization because there is likely to be direct interaction of management of the user entity with management of the service organization.

.A19 Another auditor may be used to perform procedures that will provide the necessary information about the controls at the service organization related to services provided to the user entity. If a type 1 or type 2 report has been issued, the user auditor may use the service auditor to perform these procedures as the service auditor has an existing relationship with the service organization. The user auditor using the work of another auditor may find the guidance in section 600A, *Special Considerations—Audits of Group Financial Statements (Including the Work of Component Auditors)*, useful as it relates to understanding another auditor (including that auditor's independence and professional competence); involvement

in the work of another auditor in planning the nature, extent, and timing of such work; and in evaluating the sufficiency and appropriateness of the audit evidence obtained.⁹ [As amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

.A20 A user entity may use a service organization that in turn uses a subservice organization to provide some of the services provided to a user entity that are relevant to those user entities' internal control over financial reporting. The subservice organization may be a separate entity from the service organization or may be related to the service organization. A user auditor may need to consider controls at the subservice organization. In situations in which one or more subservice organizations are used, the interaction between the activities of the user entity and those of the service organization is expanded to include the interaction between the user entity, the service organization, and the subservice organizations. The degree of this interaction as well as the nature and materiality of the transactions processed by the service organization and the subservice organizations are the most important factors for the user auditor to consider in determining the significance of the service organization's and subservice organization's controls to the user entity's controls. (Ref: par. .08)

Using a Type 1 or Type 2 Report to Support the User Auditor's Understanding of the Service Organization (Ref: par. .13–.14)

.A21 The user auditor may make inquiries about the service auditor to the service auditor's professional organization or other practitioners and inquire whether the service auditor is subject to regulatory oversight. The service auditor may be practicing in a jurisdiction in which different standards are followed with respect to reports on controls at a service organization. In such a situation, the user auditor may obtain information about the standards used by the service auditor from the standards-setting organization in that jurisdiction.

.A22 Unless evidence to the contrary comes to the user auditor's attention, a service auditor's report implies that the service auditor is independent of the service organization. However, a service auditor need not be independent of the user entities.

.A23 Standards promulgated by a body designated by Council of the AICPA pursuant to the "Compliance With Standards Rule" (ET sec. 1.310.001) of the AICPA Code of Professional Conduct are presumed to be adequate. Although the International Auditing and Assurance Standards Board (IAASB) is not such a body, AT-C section 320 may be helpful when the service auditor's report is issued in accordance with International Standard on Assurance Engagements 3402, *Assurance Reports on Controls at a Service Organization*, promulgated by the IAASB.¹⁰ [Paragraph added, effective for audits for periods ending on or after December 15, 2016, by SAS No. 130. Revised, April 2017, to reflect conforming changes necessary due to the issuance of SSAE No. 18.]

⁹Paragraphs .02 and .22 of section 600A, *Special Considerations—Audits of Group Financial Statements (Including the Work of Component Auditors)*. [Footnote renumbered by the issuance of SAS No. 145, October 2021.]

¹⁰[Footnote deleted, April 2017, to reflect conforming changes necessary due to the issuance of SSAE No. 18.]

.A24 A type 1 or type 2 report, along with information about the user entity, may assist the user auditor in obtaining an understanding of the following:

- a. The controls at the service organization that may affect the processing of the user entity's transactions, including the use of subservice organizations
- b. The flow of significant transactions through the service organization's system to determine the points in the transaction flow where material misstatements in the user entity's financial statements could occur
- c. The control objectives stated in the description of the service organization's system that are relevant to the user entity's financial statement assertions
- d. Whether controls at the service organization are suitably designed and implemented to prevent, or detect and correct, processing errors that could result in material misstatements in the user entity's financial statements

A type 1 or type 2 report may assist the user auditor in obtaining a sufficient understanding to identify and assess the risks of material misstatement of the user entity's financial statements. A type 1 report, however, does not provide any evidence of the operating effectiveness of the controls. [Paragraph renumbered by the issuance of SAS No. 130, December 2016. As amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

.A25 A type 1 report that is as of a date, or a type 2 report that is for a period outside of the reporting period of a user entity, may assist the user auditor in obtaining a preliminary understanding of the controls implemented at the service organization if the report is supplemented by additional current information from other sources. If the description of the service organization's system is as of a date or for a period that precedes the beginning of the period under audit, the user auditor may perform procedures to update the information in a type 1 or type 2 report, such as the following:

- Discussing changes at the service organization with user entity personnel who would be in a position to know of such changes
- Reviewing current documentation and correspondence issued by the service organization
- Discussing the changes with service organization personnel

[Paragraph renumbered by the issuance of SAS No. 130, December 2016.]

Responding to the Assessed Risks of Material Misstatement (Ref: par. .15)

.A26 Whether the use of a service organization increases a user entity's risk of material misstatement depends on the nature of the services provided and the controls over these services; in some cases, the use of a service organization may decrease a user entity's risk of material misstatement, particularly if the user entity itself does not possess the expertise necessary to undertake particular activities, such as initiating, processing, and recording

transactions, or does not have adequate resources (for example, an IT system). [Paragraph renumbered by the issuance of SAS No. 130, December 2016.]

.A27 When the service organization maintains material elements of the accounting records of the user entity, direct access to those records may be necessary for the user auditor to obtain sufficient appropriate audit evidence relating to the operations of controls over those records, to substantiate transactions and balances recorded in them, or both. Such access may involve physical inspection of records at the service organization's premises or electronic interrogation of records, or both. When direct access is achieved electronically, the user auditor may also obtain evidence concerning the adequacy of the service organization's controls over the completeness and integrity of the user entity's data for which the service organization is responsible. [Paragraph renumbered by the issuance of SAS No. 130, December 2016.]

.A28 In determining the nature and extent of audit evidence to be obtained for financial statement balances representing assets held or transactions processed by a service organization for a user entity, the following procedures may be considered by the user auditor:

- a. *Inspecting records and documents held by the user entity.* The reliability of this source of evidence is determined by the nature and extent of the accounting records and supporting documentation retained by the user entity. In some cases, the user entity may not maintain independent detailed records or documentation of specific transactions undertaken on its behalf.
- b. *Inspecting records and documents held by the service organization.* The user auditor's access to the records of the service organization may be established as part of the contractual arrangements between the user entity and the service organization. The user auditor may also use another auditor, on its behalf, to gain access to the user entity's records maintained by the service organization, or ask the service organization through the user entity for access to the user entity's records maintained by the service organization.
- c. *Obtaining confirmations of balances and transactions from the service organization.* When the user entity maintains independent records of balances and transactions, confirmation from the service organization corroborating those records usually constitutes reliable audit evidence concerning the existence of the transactions and assets concerned. For example, when multiple service organizations are used, such as an investment manager and a custodian, and these service organizations maintain independent records, the user auditor may confirm balances with these organizations in order to compare this information with the independent records of the user entity. If the user entity does not maintain independent records, information obtained in confirmations from the service organization is merely a statement of what is reflected in the records maintained by the service organization. Therefore, such confirmations do not, taken alone, constitute reliable audit evidence. In these circumstances, the user auditor may consider whether an alternative source of independent evidence can be identified.

- d. *Performing analytical procedures on the records maintained by the user entity or on the reports received from the service organization.* The effectiveness of analytical procedures is likely to vary by assertion and will be affected by the extent and detail of information available.

[Paragraph renumbered by the issuance of SAS No. 130, December 2016.]

.A29 As noted in paragraph .A10, a service auditor may perform procedures under AT-C section 215 that are substantive in nature for the benefit of user auditors. Such an engagement may involve the performance by the service auditor of procedures agreed upon by the user entity and its user auditor and by the service organization and its service auditor. The findings resulting from the procedures performed by the service auditor are reviewed by the user auditor to determine whether they constitute sufficient appropriate audit evidence. In addition, requirements may be imposed by governmental authorities or through contractual arrangements whereby a service auditor performs designated procedures that are substantive in nature. The results of the application of the required procedures to balances and transactions processed by the service organization may be used by the user auditor as part of the evidence necessary to support the user auditor's audit opinion. In these circumstances, it may be useful for the user auditor and the service auditor to establish an understanding prior to the performance of the procedures concerning the audit documentation or means of accessing the audit documentation that will be provided to the user auditor. [Paragraph renumbered by the issuance of SAS No. 130, December 2016. Revised, April 2017, to reflect conforming changes necessary due to the issuance of SSAE No. 18.]

.A30 In certain circumstances, in particular when a user entity outsources some or all of its finance function to a service organization, the user auditor may face a situation in which a significant portion of the audit evidence resides at the service organization. Substantive procedures may need to be performed at the service organization by the user auditor or the service auditor on behalf of the user auditor. A service auditor may provide a type 2 report and, in addition, may perform substantive procedures on behalf of the user auditor. As noted in paragraph .A44, the involvement of a service auditor does not alter the user auditor's responsibility to obtain sufficient appropriate audit evidence to afford a reasonable basis to support the user auditor's opinion. Accordingly, relevant information for the user auditor to consider when determining whether sufficient appropriate audit evidence has been obtained and whether the user auditor needs to perform further substantive procedures includes the user auditor's involvement with, or evidence of, the direction, supervision, and performance of the substantive procedures performed by the service auditor. [Paragraph renumbered by the issuance of SAS No. 130, December 2016.]

Tests of Controls (Ref: par. .16)

.A31 The user auditor is required by section 330 to design and perform tests of controls to obtain sufficient appropriate audit evidence concerning the operating effectiveness of controls in certain circumstances.¹¹ In the context of a service organization, this requirement applies when

- a. the user auditor’s assessment of risks of material misstatement includes an expectation that the controls at the service organization are operating effectively (that is, the user auditor intends to rely on the operating effectiveness of controls at the service organization in determining the nature, timing and extent of substantive procedures); or
- b. substantive procedures alone, or in combination with tests of the operating effectiveness of controls at the user entity, cannot provide sufficient appropriate audit evidence at the assertion level.

[Paragraph renumbered by the issuance of SAS No. 130, December 2016. As amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

.A32 If a type 2 report is not available, a user auditor may contact the service organization through the user entity to request that a service auditor be engaged to perform a type 2 engagement that includes tests of the operating effectiveness of the controls or the user auditor may use another auditor to perform agreed-upon procedures at the service organization that test the operating effectiveness of those controls. A user auditor may also visit the service organization and perform tests of controls if the service organization agrees to it. The user auditor’s risk assessments are based on the combined evidence provided by the service auditor’s report and the user auditor’s own procedures. [Paragraph renumbered by the issuance of SAS No. 130, December 2016. As amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

Using a Type 2 Report as Audit Evidence That Controls at the Service Organization Are Operating Effectively (Ref: par. .17)

.A33 A type 2 report may be intended to satisfy the needs of several different user auditors; therefore, specific tests of controls and results described in a type 2 report may not be relevant to assertions that are significant in the user entity’s financial statements. The relevant tests of controls and results of the tests are evaluated to determine whether the type 2 report provides sufficient appropriate audit evidence about the effectiveness of the controls to support the user auditor’s risk assessment. In doing so, the user auditor may consider the following factors:

- a. The time period covered by the tests of controls and the time elapsed since the performance of the tests of controls
- b. The scope of the service auditor’s work and the services and processes covered, the controls tested and the tests that were performed, and the way in which tested controls relate to the user entity’s controls
- c. The results of those tests of controls and the service auditor’s opinion on the operating effectiveness of the controls

¹¹Paragraph .08 of section 330, *Performing Audit Procedures in Response to Assessed Risks and Evaluating the Audit Evidence Obtained*. [Footnote renumbered by the issuance of SAS No. 130, December 2016. Footnote subsequently renumbered by the issuance of SAS No. 145, October 2021.]

[Paragraph renumbered by the issuance of SAS No. 130, December 2016.]

.A34 For certain assertions, the shorter the period covered by a specific test and the longer the time elapsed since the performance of the test, the less audit evidence the test may provide. In comparing the period covered by the type 2 report to the user entity's financial reporting period, the user auditor may conclude that the type 2 report offers less audit evidence if little overlap exists between the period covered by the type 2 report and the period for which the user auditor intends to rely on the report. When this is the case, an additional type 2 report covering a preceding or subsequent period may provide additional audit evidence. In other cases, the user auditor may determine it is necessary to perform, or use another auditor to perform, tests of controls at the service organization in order to obtain sufficient appropriate audit evidence about the operating effectiveness of those controls. [Paragraph renumbered by the issuance of SAS No. 130, December 2016.]

.A35 It may also be necessary for the user auditor to obtain additional evidence about significant changes in the controls at the service organization during a period outside the period covered by the type 2 report, or to determine what additional audit procedures need to be performed (for example, when little or no overlap exists between the period covered by the type 2 report and the period covered by the user entity's financial statements). Relevant factors in determining what additional audit evidence to obtain about controls at the service organization that were operating outside the period covered by the service auditor's report may include the following:

- The significance of the assessed risks of material misstatement at the assertion level
- The specific controls that were tested during the interim period and significant changes to them since they were tested, including changes in the information systems, processes, and personnel
- The degree to which audit evidence about the operating effectiveness of those controls was obtained
- The length of the remaining period
- The extent to which the user auditor intends to reduce further substantive procedures based on the reliance on controls
- The effectiveness of the control environment and the user entity's process to monitor the system of internal controls

[Paragraph renumbered by the issuance of SAS No. 130, December 2016. As amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

.A36 Additional audit evidence may be obtained, for example, by performing tests of controls that operated during the remaining period or testing the user entity's process to monitor the system of internal control. [Paragraph renumbered by the issuance of SAS No. 130, December 2016. As amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

.A37 If the service auditor's testing period is completely outside the user entity's financial reporting period, the user auditor will be unable to rely on such tests to conclude that the user entity's controls are operating effectively because the tests do not provide current audit period evidence of the effectiveness of the controls, unless other procedures are performed. [Paragraph renumbered by the issuance of SAS No. 130, December 2016.]

.A38 In certain circumstances, a service provided by the service organization may be designed with the assumption that certain controls will be implemented by the user entity. For example, the service may be designed with the assumption that the user entity will have controls in place for authorizing transactions before they are sent to the service organization for processing. In such a situation, the description of the service organization's system may include a description of those complementary user entity controls. The user auditor considers whether those complementary user entity controls are relevant to the service provided to the user entity. [Paragraph renumbered by the issuance of SAS No. 130, December 2016.]

.A39 If the user auditor believes that the service auditor's report may not provide sufficient appropriate audit evidence (for example, if a service auditor's report does not contain a description of the service auditor's tests of controls and results thereof), the user auditor may supplement his or her understanding of the service auditor's procedures and conclusions by contacting the service organization through the user entity to request a discussion with the service auditor about the scope and results of the service auditor's work. Also, if the user auditor believes it is necessary, the user auditor may contact the service organization through the user entity to request that the service auditor perform procedures at the service organization, or the user auditor may perform such procedures. [Paragraph renumbered by the issuance of SAS No. 130, December 2016.]

.A40 The service auditor's type 2 report identifies results of tests, including deviations, and other information that could affect the user auditor's conclusions. Deviations noted by the service auditor or a modified opinion in the service auditor's report do not automatically mean that the service auditor's report will not be useful for the audit of the user entity's financial statements in assessing the risks of material misstatement. Rather, the deviations and the matter giving rise to a modified opinion in the service auditor's type 2 report are considered in the user auditor's assessment of the tests of controls performed by the service auditor. In considering the deviations and matters giving rise to a modified opinion, the user auditor may discuss such matters with the service auditor. Such communication is dependent upon the user entity contacting the service organization, and obtaining the service organization's approval for the communication to take place. [Paragraph renumbered by the issuance of SAS No. 130, December 2016.]

.A41 *Communication of significant deficiencies and material weaknesses in internal control identified during the audit.* The user auditor is required by section 265, *Communicating Internal Control Related Matters Identified in an Audit*, to communicate in writing to management and those charged with governance significant deficiencies and material weaknesses identified during the audit.¹² Matters related to the use of a service organization that the user auditor may identify during the audit and may communicate to management and those charged with governance of the user entity include the following:

- Any controls within the entity’s process to monitor the system of internal control that could be implemented by the user entity, including those identified as a result of obtaining a type 1 or type 2 report
- Instances when complementary user entity controls identified in the type 1 or type 2 report are not implemented at the user entity
- Controls that may be needed at the service organization that do not appear to have been implemented or that were implemented, but are not operating effectively

The auditor also may communicate other control related matters, including deficiencies that are not significant deficiencies or material weaknesses. [Paragraph renumbered by the issuance of SAS No. 130, December 2016. As amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

Type 1 and Type 2 Reports That Exclude the Services of a Subservice Organization (Ref: par. .18)

.A42 If a service organization uses a subservice organization, the service auditor’s report may either include or exclude the subservice organization’s relevant control objectives and related controls in the service organization’s description of its system and in the scope of the service auditor’s engagement. These two methods of reporting are known as the *inclusive method* and the *carve-out method*, respectively. If the type 1 or type 2 report excludes the controls at a subservice organization and the services provided by the subservice organization are relevant to the audit of the user entity’s financial statements, the user auditor is required to apply the requirements of this section with respect to the subservice organization. The nature and extent of work to be performed by the user auditor regarding the services provided by a subservice organization depend on the nature and significance of those services to the user entity and the relevance of those services to the audit. The application of the requirement in paragraph .09 assists the user auditor in determining the effect of the subservice organization and the nature and extent of work to be performed. [Paragraph renumbered by the issuance of SAS No. 130, December 2016.]

Fraud, Noncompliance With Laws and Regulations, and Uncorrected Misstatements Related to Activities at the Service Organization (Ref: par. .19)

.A43 A service organization may be required under the terms of the contract with user entities to disclose to affected user entities any fraud, noncompliance with laws and regulations, or uncorrected misstatements attributable to the service organization’s management or employees. As required by paragraph .19, the user auditor makes inquiries of the user entity management regarding whether the service organization has reported any such matters and evaluates whether any matters reported by the service organization

¹²Paragraphs .11–.12 of section 265, *Communicating Internal Control Related Matters Identified in an Audit*. [Footnote renumbered by the issuance of SAS No. 130, December 2016. Footnote subsequently renumbered by the issuance of SAS No. 145, October 2021.]

affect the nature, timing, and extent of the user auditor's further audit procedures. In certain circumstances, the user auditor may require additional information to perform this evaluation and may request that the user entity contact the service organization to obtain the necessary information. [Paragraph renumbered by the issuance of SAS No. 130, December 2016.]

Reporting by the User Auditor (Ref: par. .20)

.A44 When a user auditor is unable to obtain sufficient appropriate audit evidence regarding the services provided by the service organization relevant to the audit of the user entity's financial statements, a limitation on the scope of the audit exists. This may be the case when

- the user auditor is unable to obtain a sufficient understanding of the services provided by the service organization and does not have a basis for the identification and assessment of the risks of material misstatement;
- a user auditor's risk assessment includes an expectation that controls at the service organization are operating effectively and the user auditor is unable to obtain sufficient appropriate audit evidence about the operating effectiveness of these controls; or
- sufficient appropriate audit evidence is only available from records held at the service organization, and the user auditor is unable to obtain direct access to these records.

Whether the user auditor expresses a qualified opinion or disclaims an opinion depends on the user auditor's conclusion regarding whether the possible effects on the financial statements are material, pervasive, or both.¹³ [Paragraph renumbered by the issuance of SAS No. 130, December 2016.]

Reference to the Work of the Service Auditor (Ref: par. .21–.22)

.A45 The fact that a user entity uses a service organization does not alter the user auditor's responsibility to obtain sufficient appropriate audit evidence to afford a reasonable basis to support the user auditor's opinion. Therefore, the user auditor does not make reference to the service auditor's report as a basis, in part, for the user auditor's opinion on the user entity's financial statements. However, when the user auditor expresses a modified opinion because of a modified opinion in a service auditor's report, the user auditor is not precluded from referring to the service auditor's report if such reference assists in explaining the reason for the user auditor's modified opinion. In such circumstances, the user auditor need not identify the service auditor by name and may need the consent of the service auditor before making such a reference. [Paragraph renumbered by the issuance of SAS No. 130, December 2016.]

¹³Paragraphs .07–.10 of section 705, *Modifications to the Opinion in the Independent Auditor's Report*. [Footnote renumbered by the issuance of SAS No. 130, December 2016. Footnote subsequently renumbered by the issuance of SAS No. 145, October 2021.]

AU-C Section 9402

Audit Considerations Relating to an Entity Using a Service Organization: Auditing Interpretations of Section 402

1. Considerations Related to the Use of a SOC 2^{®1} Report in an Audit of a User Entity's Financial Statements

.01 Question — Section 402, *Audit Considerations Relating to an Entity Using a Service Organization*, defines a *user entity* as an entity that uses a service organization and whose financial statements are being audited. It also defines a *service organization* as an organization or segment of an organization that provides services to user entities that are relevant to those user entities' internal control over financial reporting (ICFR). When a service organization does not provide a SOC 1^{®2} report or a similar report issued under, for example, International Standard on Assurance Engagements (ISAE) 3402, *Assurance Reports on Controls at a Service Organization*, but does provide a SOC 2[®] report relevant to the services used by the user entity, may the auditor of a user entity's financial statements (a user auditor) use the SOC 2 report to meet the objectives of section 402?

.02 Interpretation — Section 402 contains requirements and guidance for a user auditor on (a) obtaining an understanding of the nature and significance of the services provided by a service organization and their effect on the user entity's system of internal control, sufficient to provide an appropriate basis for the identification and assessment of the risks of material misstatement, and (b) designing and performing audit procedures responsive to those risks.³

.03 A service auditor performs a SOC 1 engagement under AT-C section 320, *Reporting on an Examination of Controls at a Service Organization Relevant to User Entities' Internal Control Over Financial Reporting*, which is an attestation standard specifically designed to

¹The AICPA introduced the term *system and organization controls* (SOC) to refer to the suite of services practitioners may provide relating to system-level controls of a service organization and system or entity-level controls of other organizations. A SOC 2[®] engagement is an examination of controls over the security, availability, or processing integrity of a system or the confidentiality or privacy of the information processed by the system. It is performed under AT-C section 205, *Assertion-Based Examination Engagements*. AICPA Guide *Reporting on Controls at a Service Organization Relevant to Security, Availability, Processing Integrity, Confidentiality, or Privacy* (SOC 2[®]) is an interpretive publication that addresses SOC 2 engagements and provides recommendations on the application of AT-C section 205 to such engagements.

²A SOC 1[®] engagement is an examination engagement performed under AT-C section 320, *Reporting on an Examination of Controls at a Service Organization Relevant to User Entities' Internal Control Over Financial Reporting*.

³[Footnote deleted, March 2024.]

enable a service auditor to report on management of a service organization's description of its system (description) and the service organization's controls included in the description that are relevant to a user entity's ICFR. A SOC 1 report addresses the risks related to a financial statement audit and is intended to complement section 402. As such, a SOC 1 report or an equivalent report issued under, for example, ISAE 3402, is the preferred report for use in an audit of a user entity's financial statements. When a SOC 1 report is unavailable, a user auditor may be able to obtain relevant information from other types of attestation reports. One such report is a report on an examination of controls at a service organization relevant to one or more of the trust services categories of criteria, which include security, availability, processing integrity, confidentiality, and privacy (SOC 2 report).

.04 Although a SOC 2 report may provide a user auditor with information about the nature of the services provided by the service organization and the suitability of the design and operating effectiveness of certain controls at the service organization, a SOC 2 report is not specifically designed to address controls at a service organization relevant to a user entity's ICFR and therefore is unlikely to achieve the intent of the requirements in section 402. Because a SOC 2 report is not designed to serve the same purpose as a SOC 1 report, an understanding of the differences between these two types of reports may assist a user auditor in evaluating the sufficiency and appropriateness of the evidence provided by a SOC 2 report in an audit of a user entity's financial statements. The following are some considerations when determining whether a SOC 2 report may be used in the audit of a user entity's financial statements and some of the limitations of using a SOC 2 report in these circumstances:

- *Purpose of the report.* A SOC 2 engagement, which is performed under AT-C section 205, *Assertion-Based Examination Engagements*, addresses controls at a service organization that are intended to provide reasonable assurance that the service organization's service commitments and system requirements are achieved, based on the applicable trust services criteria. Importantly, a SOC 2 engagement is not designed to address the services performed by a service organization that are likely to be relevant to a user entity's ICFR and therefore is unlikely to completely address the effect that the service organization has on a user entity's financial reporting.
- *Potential overlap with financial reporting.* A SOC 2 report may address certain areas that could be relevant to a user entity's ICFR, such as logical access and change management. However, in a SOC 2 engagement, the service auditor's tests of such controls may be designed to address a different set of risks and are unlikely to provide sufficient appropriate audit evidence regarding controls at a service organization relevant to a user entity's ICFR. For example, although the change management criterion in a SOC 2 engagement⁴ addresses attributes in the change management life cycle that may be relevant to a user entity's ICFR (for example, testing, approval, and implementation of changes into production), the service organization's service commitments and system requirements in a SOC 2 engagement typically address the

⁴See CC8.1 in TSP section 100, *2017 Trust Services Criteria for Security, Availability, Processing Integrity, Confidentiality, and Privacy*.

All TSP sections can be found in *AICPA Trust Services Criteria*.

effect that the change has on the security and availability of systems and therefore may not address the completeness, accuracy, and timeliness of the processing and reporting of transactions and balances relevant to a user entity's ICFR.

- *Scope of the report and understanding of the nature of the services provided by the service organization.* Because a SOC 2 report is not specifically designed to address services relevant to a user entity's ICFR, the description in a SOC 2 report may not include all the services, reports, statements, processes, and controls relevant to a user entity's ICFR. In contrast, the criteria for the description in AT-C section 320 require that such information be included in the description in a SOC 1 report.⁵ Accordingly, the use of a SOC 2 report in an audit of a user entity's financial statements involves careful evaluation of the scope of the report and the content of the description in determining the relevance of the report to a user entity's ICFR.
- *Complementary user entity controls.* In a SOC 2 report, complementary user entity controls (CUECs) represent controls that management of the service organization assumed, in the design of the service organization's system, would be implemented by user entities and are necessary, in combination with controls at the service organization to provide reasonable assurance that the service organization's service commitments and system requirements would be achieved, based on the applicable trust services criteria. However, in a SOC 1 report, the CUECs represent controls that management of the service organization assumes, in the design of the service organization's system, will be implemented by user entities and are necessary to achieve a set of control objectives stated in the description that are relevant to user entities' ICFR. As a result, it is unlikely that a SOC 2 report will include the same set of CUECs that would be included in a SOC 1 report addressing similar services. The user auditor's careful analysis of the SOC 2 report is needed to identify (a) the CUECs included in a SOC 2 report, if any, that would need to be implemented at a user entity to achieve control objectives relevant to the user entity's ICFR, and (b) other controls that would need to be implemented by a user entity to mitigate the risks to the user entity's ICFR resulting from the use of a service organization (these controls are not identified as CUECs in a SOC 2 report). For example, if a service organization is responsible for performing logical access administration for users at the user entity, a SOC 1 report may include a CUEC indicating that the user entity provides complete, accurate, and appropriately authorized instructions for access changes. However, in a SOC 2 report, this control may not be identified as a CUEC because the service organization is able to meet its service commitments to administer access based on the instructions provided by the user entity, regardless of the completeness and accuracy of those instructions.

To identify additional user responsibilities relevant to a user entity's ICFR that are not presented in a SOC 2 report as CUECs, a user auditor may review the following:

- Contracts, service level agreements, or other documents between the user entity and the service organization to obtain an understanding of the services performed

⁵Paragraph .15 of AT-C section 320.

- The extent to which those services are, or are not, addressed by the SOC 2 report
 - The service organization's and user entity's responsibilities, even if not identified in the SOC 2 report as SOC 2–related CUECs
- *Access to the SOC 2 report not provided to downstream users.* For carved-out subservice organizations, paragraph .A70 of AT-C section 320 indicates that a user entity is also considered a user entity of the service organization's subservice organizations if controls at the subservice organizations are relevant to the user entity's ICFR. Paragraph .A70 refers to such user entities as *indirect* or *downstream* user entities. Because the definition of *user entity* in a SOC 2 engagement is substantially the same as it is in a SOC 1 engagement, downstream user entities of a SOC 2 report would be considered intended users of a SOC 2 report.
 - *Services provided by subservice organizations likely to be relevant to a user entity's ICFR.* An additional user auditor consideration is that the scope of a SOC 2 report may not include all the services provided by subservice organizations that are likely to be relevant to a user entity's ICFR. For example, although a service provider that provides pricing data for investments may be a relevant subservice organization for a SOC 1 report, it may not be relevant to the SOC 2 report based on the applicable trust services criteria, which are intended to address the service organization's service commitments and system requirements.
 - *Information prepared for user entities.* The information included in a SOC 2 report may address information prepared for user entities that is relevant to the service organization's service commitments — for example, system uptime reports to address availability commitments and user access listings related to security commitments — but may not address other types of information and reports that would be relevant to a user entity's ICFR. In evaluating the usefulness of a SOC 2 report in an audit of a user entity's financial statements, relevant considerations may include whether the scope of the SOC 2 report includes controls over the completeness and accuracy of the reports provided to user entities that are relevant to the user entities' ICFR. For example, a SOC 2 report that addresses an investment management system may include security reports such as user access lists or system availability reports for the application but may not include reports relevant to a user entity's financial transactions such as investment positions or transactions.
 - *Intended users of the report.* The restricted-use paragraph in a type 2 SOC 2 report indicates that the intended users of a SOC 2 report include user entities of the system during some or all of the period covered by the report and practitioners providing services to such user entities. A user auditor would qualify as a practitioner providing services to a user entity and therefore would be considered an intended user of a SOC 2 report.
 - *Service auditor's consideration of deficiencies.* In a SOC 2 engagement, the service auditor evaluates identified deficiencies in the design or operating effectiveness of controls based on their effect on the service organization's service commitments and system requirements, as opposed to their effect on the service organization's identified control objectives, as is the case in a SOC 1 engagement.

.05 The following table summarizes how a SOC 2 report may address the requirements in paragraph .09 of section 402:

Requirement in Paragraph .09 of Section 402	How a SOC 2 Report May Address the Requirement in Paragraph .09 of Section 402
.09 A user auditor should obtain an understanding of how the user entity uses the services of a service organization in the user entity's operations, including the following:	
a. The nature of the services provided by the service organization and the significance of those services to the user entity, including their effect on the user entity's internal control	A SOC 2 report may be useful in understanding the nature of some of the services provided by the service organization, including the service organization's service commitments and controls relative to categories of trust services criteria such as security and processing integrity. However, due to the intended scope of the report, it may not address all the services relevant to a user entity's internal control over financial reporting.
b. The nature and materiality of the transactions processed or accounts or financial reporting processes affected by the service organization	A SOC 2 report is unlikely to address the nature and materiality of transactions processed by the service organization unless it includes the processing integrity category of the trust services criteria.
c. The degree of interaction between the activities of the service organization and those of the user entity	A SOC 2 report may address the interaction between the activities of the service organization and those of the user entity especially as it relates to the service commitments that the service organization has made to its user entities based on the scope of the report.
d. The nature of the relationship between the user entity and the service organization, including the relevant contractual terms for the activities undertaken by the service organization	Like a SOC 1 report, a SOC 2 report is unlikely to address the relevant contractual terms; however, it will provide some information about the relationship between the user entity and the service organization. For example, the disclosure of the service organization's key service commitments relative to the trust services categories of criteria that are addressed by the SOC 2 report may assist the user auditor in understanding the nature of the relationship between the user entity and the service organization.

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